

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. f/k/a/ BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

RESPONDENTS' EXCEPTIONS TO THE INITIAL DECISION

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited
("Respondents" or "OOCL"), by and through their undersigned counsel, respectfully submit these
Exceptions to the Initial Decision entered on April 24, 2026.

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INTRODUCTION AND SUMMARY OF ARGUMENT

Pursuant to Rule 227 of the Commission's Rules of Practice and Procedure, Respondents hereby except to the Presiding Officer's April 24, 2026, Initial Decision ("ID") and file this brief in support of same. OOCL requests oral argument pursuant to Rule 241.

The ID erred in granting Complainant Bed Bath and Beyond, Inc.'s ("Complainant" or "BBBY") Counts I, III, IV, and V as asserted in BBBY's Amended Complaint; in ordering OOCL to pay reparations of \$45,600,599.25 plus prejudgment interest; and in denying OOCL's motions to exclude BBBY's expert witness McCown, reopen discovery, and exclude David Kastin's verification accompanying BBBY's First Amended Complaint. The ID further erred in denying OOCL's objections to the proceeding and failing to afford OOCL substantive and procedural due process. The ID correctly denied Count II.

STANDARD OF REVIEW

The FMC reviews the ID *de novo*.¹

EXCEPTIONS AND ARGUMENT

I. Procedural Due Process Violations.²

A. Failure to Provide OOCL an Oral Hearing violated the Administrative Procedure Act ("APA") and OOCL's due process rights.

Both parties requested that the ALJ conduct an oral hearing.³ The ALJ failed to rule on these requests, or schedule a hearing, despite an ample fourteen-month period following receipt of

¹ 46 C.F.R. § 502.277(a)(6). Because this is a *de novo* review, if the FMC rules without an oral hearing, it cannot adopt the ID's Findings of Fact, but must review the evidence itself.

² There is a substantial question whether the ALJ is constitutionally authorized to preside over this matter. Because the FMC itself has stated that it lacks jurisdiction to resolve that question, OOCL leaves that issue to the courts but preserves the issue should the FMC decide to take it up.

³ BBBY requested a hearing in its Complaint and Amended Complaint. Dkt No. 1, Complaint at 35; Dkt No. 63, Amended Complaint at 53. OOCL likewise requested a hearing in its Answer and Amended Answer. Dkt No. 7, Answer at 15; Dkt No. 64, Amended Answer at 35, 37. OOCL also addressed the denial of a hearing in its Answering Brief. Dkt. No. 114, Answering Brief at 103.

the Parties' briefs. The ALJ's failure to permit a statutorily required hearing was error in violation of Title 46 U.S.C. § 41304 and FMC Regulations that denied OOCL due process of law. The ALJ's *post hoc* claim that the Parties implicitly waived their right to a hearing lacks merit and is an improper attempt to skirt fundamental procedural rules to excuse this due process violation.⁴

Title 46 U.S.C. § 41304, provides that "[t]he Federal Maritime Commission **shall provide an opportunity for a hearing before issuing an order relating to a violation** of this part or a regulation prescribed under this part."⁵ This statutory command is implemented by FMC Regulations, which provide: "Every party has the right to present its case or defense by oral or documentary evidence, to submit rebuttal evidence, and to conduct such cross-examination as may be required for a full and true disclosure of the facts."⁶

Although the statute and regulations command that a hearing be held, they do authorize the ALJ to "limit the introduction of evidence and the examination and cross-examination of witnesses when, in his or her judgment, such evidence or examination is irrelevant, immaterial, or unduly repetitious." Here, the ALJ made no such judgments. Rather, she claimed the Parties implicitly waived their hearing rights by not scheduling a hearing date in a status report and improperly shifted her affirmative duties under the Commission Rules onto the parties. It is not up to litigants to schedule hearing dates – litigants do not control the ALJ's docket. The tribunal does.⁷ Both parties requested an oral hearing; the ALJ failed to determine the necessity of same and convey

⁴ See ID at 119 ("If either party believed that an oral hearing was necessary, they should have raised the issue when it could have been considered and included in the schedule.").

⁵ (Emphasis added). See also, *Bufkin v. Collins*, 604 U.S. 369, 379 (2025) ("It is undisputed that the word 'shall' imposes a mandatory command. 'Shall' means 'must'" (citing *Shapiro v. McManus*, 577 U. S. 39, 43 (2015)) and *Kingdomware Technologies, Inc. v. United States*, 579 U. S. 162, 171–172 (2016)).

⁶ 46 C.F.R. § 502.202.

⁷ Counsel for OOCL have collectively practiced at or before the FMC for more than 70 years but cannot recall any other instance in which a party was required to request a hearing by means other than putting such a request in the complaint or answer.

her decision to the parties before issuing the ID.

Notably, ALJ Wirth's procedural failures directly contrast to her more thoughtful resolution of other similar proceedings,⁸ involving other parties, in which she recognized her statutory duty to rule on the oral hearing issue even though only raised in the complaint/answer:

Neither party requested an oral hearing in their status reports and neither party built time for an oral hearing into their proposed schedules. **Respondents did, however, request an oral hearing in their answer.** An oral hearing would delay the proceeding and is not typically held in Commission adjudication. Accordingly, an oral hearing will not be scheduled.⁹

OOCL cannot say why ALJ Wirth failed to make a determination regarding the requests for oral hearing when issuing a scheduling order, or via a separate stand-alone order specific to the oral hearing issue. But that failure was hers – not OOCL's – and her election to issue the ID without first formally determining no oral hearing would be permitted (and conveying notice of that decision to OOCL *prior* to ruling on the merits) deprived OOCL of fundamental due process.

OOCL recognizes that “[t]here is no inexorable requirement that oral testimony must be heard in every administrative proceeding in which it is tendered.”¹⁰ OOCL is also aware of the FMC's stated policy preference of deciding cases on the basis of written evidence when possible.¹¹

⁸ ALJs presiding over recent, similarly complex proceedings have noted the likely need for oral hearings. See, e.g., *Samsung Electronics America, Inc., v. Cosco Shipping Lines Co., Ltd.*, Docket No. 24-16, 2025 WL 1937527, at *1 (July 8, 2025, Scheduling Order).

⁹ *Ocean Network Express Pte. Ltd. and Ocean Network Express (North America) Inc. - Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-17, 2022 WL 795824, at *2 (March 8, 2022, Scheduling Order) (emphasis added). Indeed, ALJ Wirth has, in other matters, *sua sponte* raised and disposed of the issue of whether an oral hearing was indicated. See e.g., *S.P.F. Logistics, Inc., Complainant v. Hapag-Lloyd Ag, Respondent.*, Docket No. 24-24, 2025 WL 1828571 (June 25, 2025, Scheduling Order) (“On June 16, 2025, the parties filed a joint status report and proposed discovery schedule (“JSR”).... The parties do not request and have not shown that an oral hearing is necessary.”); *ICL USA, Inc. v. Dependable Highway Express, Inc. and Mediterranean Shipping Company, (USA) Inc.*, Docket No. 24-04, 2024 WL 1855580 (April 22, 2024 Scheduling Order) (“The parties do not request and have not shown that an oral hearing is necessary.”).

¹⁰ *FDIC v. Mallen*, 486 U.S. 230, 247-248 (1988).

¹¹ *Avoidance of Trial-type Oral Hearings, Informal Statement of Policy*, 17 S.R.R. 457 (1977).

That said, even the FMC’s policy statement recognized that oral testimony and cross-examination may be necessary where “there are genuine issues of material fact that cannot be resolved on the basis of ... documents or [where] the nature of the matters in issue is such that an oral hearing and cross-examination are necessary for the development of an adequate record.”¹²

Still, the Supreme Court has instructed that “[d]ue process . . . calls for such procedural protections as the particular situation demands.”¹³ And, “[i]n any contested administrative hearing, admission of a party’s testimony is particularly essential to a full and fair hearing *where credibility is a determinative factor*”¹⁴

Ultimately, under *Mathews*, courts determine what process is due by balancing (1) the private interest at stake, (2) “the risk of an erroneous deprivation of such interest through the procedures used, and the probable value, if any, of additional ... safeguards,” and (3) the government’s interest, including the burdens of any additional process.¹⁵

Here, there were substantial and genuine issues of material fact which the ALJ was called upon to resolve, and where the credibility of the witnesses on those disputed facts was critical to how the ALJ should resolve those disputed facts. For example, witness credibility and fact issues

¹² See also *id.* (FMC desires “to avoid time-consuming trial type oral hearings *unless* there is a genuine need to resort to such techniques to resolve disputed issues of fact or examine fully complicated issues which require more than documentary evidence for resolution.” (emphasis added)); *Selbuy International, Inc. D/b/a Canyon Enterprises v. Guardian Services Group, Ltd.*, FMC Docket No. 01-04, 2001 WL 503662 (April 9, 2001 Initial Order, (“Oral testimony and cross-examination will only be allowed upon a showing that there are genuine issues of material fact which cannot be resolved by the submission of sworn statements, affidavits, depositions or other documents, or that the nature of the matter at issue is such that an oral hearing and cross-examination are necessary for the development of an adequate record.”)).

¹³ *Mathews v. Eldridge*, 424 U.S. 319, 321 (1976) (quoting *Morrissey v. Brewer*, 408 U.S. 471, 481 (1972)).

¹⁴ *Oshodi v. Holder*, 729 F.3d 883, 889 (9th Cir. 2013) (citing *Mathews*, 424 U.S. at 343–44 for the proposition that where credibility and veracity are critical to the decision-making process “written submissions are a wholly unsatisfactory basis for decision”).

¹⁵ 424 U.S. at 335

exist with respect to the following, among other issues:

- Whether BBY's contract signatories voluntarily signed the service contracts and amendments thereto (the ALJ found that they were not voluntarily signed even though there was no record evidence of duress or coercion);¹⁶
- Whether BBY's Patrick Hackett made a threat when he signed and sent the October 18, 2021, letter to OOCL when he testified that he did not and sent the same letter to all of BBY's ocean carriers (the ALJ found that he did);
- Whether OOCL's personnel engaged in retaliation for the alleged threat above, which each denied under oath during their respective depositions (the ALJ found they had);
- Whether David Kastin could have properly verified BBY's First Amended Complaint although he invoked the attorney-client privilege even though he placed his personal knowledge at issue through his verification under oath;
- Whether BBY's expert witness John McCown's opinions relating to OOCL's alleged failure to provide adequate container space were based upon a reliable methodology when he possessed no personal knowledge about the data presented to him by BBY; and
- Whether that key data had any bona fide source at all, given Patrick Hackett's testimony that he was unaware of any analysis undertaken, and BBY's reliance on improper factual declaration and verification of its own counsel.

ALJ Wirth effectively "resolved" these matters of disputed fact by finding the assertions of BBY's witness credible and those of OOCL's witnesses not credible. But other than bias, she stated no reasoned basis for any findings based on witness credibility.

By failing to afford OOCL an oral hearing with live witnesses testifying and subjected to cross-examination, the ALJ invoked witness credibility to resolve disputed facts on a cold, paper-only evidence review without ever assessing the credibility of those witnesses. Here, both the private interests at stake, and the "risk of an erroneous deprivation of such interest" are patent – BBY sought over \$165,000,000 in damages from OOCL, and the ID awards BBY reparations of over \$45,000,000. These are substantial penalties. While there may be some additional burden

¹⁶ See footnote 81 below.

on the ALJ by permitting the oral hearing requested by both parties, that burden is minimal when compared against and accounting for the breadth of the charges and claims BBY has asserted against OOCL, the frankly punitive damages BBY sought, and the 200-page (single-spaced) ID issued by ALJ Wirth a full fourteen months after briefing was completed. Indeed, the expansiveness of the ID itself is nearly *prima facie/res ipsa loquitur* proof that this was no simple, straight-forward case that could promptly and easily be resolved on nothing but the papers.

Fundamentally, due process requires appropriate notice and an opportunity to be heard prior to adjudication of a disputed claim. Indeed, the FMC's own regulations specifically provide for an oral hearing in appropriate cases.¹⁷ This was clearly an appropriate case. ALJ Wirth's actions deprived OOCL of both notice and opportunity, violating its constitutional due process rights. The ID cannot stand, given this clear violation of constitutional due process standards.¹⁸

The failure to afford OOCL a hearing was not just a bad call in this case, but a more serious and fundamental defect in FMC practice. That is, based on a review of contemporary FMC proceedings, the Office of Administrative Law Judges appears to have eliminated the availability of live hearings *entirely*, despite the requirements of the Commission's own rules and the Administrative Procedure Act (APA).¹⁹ This systemic departure from the agency's own rules to the detriment of litigants' due process rights renders the statutory requirement of a hearing meaningless, and is arbitrary and capricious on its face. It also appears nearly irremediable, given the agency's ongoing reliance on ALJs that are unconstitutionally protected from removal.

II. FMC Lacks Jurisdiction Over Breach of Contract Claims, and ALJ's Invalidation of Contractual Agreements Violates the Major Questions/Non-Delegation Doctrines.

¹⁷ 46 U.S.C. § 41304; 46 CFR § 502.201-202.

¹⁸ *Crowell v. Benson*, 285 U.S. 22, 56–57, 52 S. Ct. 285, 294–95, 76 L. Ed. 598 (1932).

¹⁹ 5 U.S.C. § 556 (d) (“A party is entitled to present his case or defense by oral or documentary evidence, to submit rebuttal evidence, and to conduct such cross-examination as may be required for a full and true disclosure of the facts.”)

The ALJ found all of BBY's signatures on the 2020/21 and 2021/2022 annual service contract amendments (33 in all), including drawdown amendments, and its signatures on the premium rate contracts and amendments thereto (10 in all) were involuntary, despite the absence of any record evidence.²⁰ If this were true, which it is not, the service contracts were invalid *ab initio*, and as required by the Act and the Commission's rules, BBY shipments would need to be re-rated to the applicable published tariff rates that would apply absent a valid service contract.²¹

The expansion of individual, confidential service contracting under the Ocean Shipping Reform Act of 1998 ("OSRA98") reflected an explicit, deregulatory goal of Congress to give carriers and shippers the freedom to contract for transportation of cargo on terms that best suited their particular needs and circumstances.²² To further encourage this new freedom, Congress eliminated the former "me too" requirement that required FMC-regulated ocean carriers to offer the same terms to all "similarly-situated" shippers, and exempted service contracts from the various Shipping Act prohibitions that, for tariff shipments available to all-comers, bar discrimination or preference/prejudice (except as to ports).

²⁰ See APP 3261-92, 3360-753 (Exs. 163, 332-379); APP 1177-78 (Kastin Tr. 144:17-147:22).

²¹ 46 C.F.R. § 530.14(b).

²² As the Senate Report on legislation that was to become OSRA98, explained, "While the 1984 Act allowed greater discrimination for service contracts than tariffs, it essentially preserved common carriage requirements for both types of transactions, and similarly situated shippers were afforded identical contract rights." S. Rep. 105-61 on S. 414 at 3 (July 31, 1997). The drafters also explained OSRA98 changed that: "Shipper needs for global shipping alternatives will continue, and carrier flexibility to engage in tailored carrier-shipper contracts will increase." (*Id.* at 4) and that OSRA98 redefined the "term 'service contract' to provide shippers and common carriers with greater flexibility in entering into contractual arrangements." *Id.* at 19. Section 8(c) of the Shipping Act of 1984, P.L. No. 98-237, 98 Stat. 75 (Mar. 20, 1984) contained the text most recently codified at 46 U.S.C. 40502(f). As explained by the conferees, "Because service contracts **will selectively favor some shippers**, several of the proscribed acts (Section 10(B)(6) and (11) were amended to assure that service contracts **may discriminate as to rates** and cargo classifications, and provide distinct advantages or preferences that might otherwise be in violation of the Act. Such differentials are the very nature of contract service." H.R. Conf. Rep. 98-600 (Feb. 23, 1984) (emphasis added). OSRA98 retained that provision and the drafters explained its continued need.

Freedom of contract is exemplified by contract signatures, which serve to bind parties to their agreements. The ALJ's findings are not only invoke an authority the FMC never had (rate "reasonableness"), they also completely override and undermine such freedom in the "competitive environment" envisioned by the Act's drafters. The ALJ's decision fundamentally alters the deregulated nature of commercial shipping and assumes a power that Congress has never granted the FMC, in violation of the major questions and nondelegation doctrines, that is, the power to pick and choose which private contracts (or amendments) may be void *ab initio*.²³ The Commission cannot bootstrap itself into the awesome authority to completely upend the functioning of an entire, trillion-dollar industry without a direct, clear, and unequivocal congressional mandate. The Supreme Court has explained that courts generally interpret statutory language "in [its] context and with a view to [its] place in the overall statutory scheme." In cases where there is something extraordinary about the "history and breadth of the authority" an agency asserts or the "economic and political significance" of that assertion, however, the Court indicated courts should "hesitate before concluding that Congress meant to confer such authority." *West Virginia v. EPA*, 142 S. Ct. 2587, 2607–2608 (2022). Under the major questions doctrine, the Supreme Court has rejected agency claims of regulatory authority when (1) the underlying claim of authority concerns an issue of "vast 'economic and political significance,'" and (2) Congress has not clearly empowered the agency with authority over the issue. *Util. Air Regul. Grp. (UARG) v. EPA*, 573 U.S. 302, 324 (2014). The power to void contracts made in the U.S. foreign ocean borne trades valued in the trillions of dollars annually, meets both of the above criteria.

²³ See, e.g., *Western Overseas Trade and Development Corp. v. Asia North America Eastbound Rate Agreement*, 1993 WL 330934, at *5, *12 (ALJ Order dismissing complaint)(aff'd by FMC)(Commission is barred from hearing claims seeking remedies that would otherwise be available in a breach of contract action including deadfreight even if couched in terms of alleged Shipping Act violations).; see also, *Kawasaki Kisen Kaisha, Ltd. v. Intercontinental Exchange, Inc.*, 2000 WL 1285694, at *5 (ALJ Order to Show Cause).

Further, the non-delegation doctrine requires an intelligible principle upon which the FMC is directed by Congress to conform before undertaking a delegation of legislative power. *Allstates Refractory Contractors, LLC v. Su*, 79 F.4th 755, 760 (6th Cir. 2023), citing *J.W. Hampton, Jr., & Co. v. United States*, 276 U.S. 394, 409, 48 S.Ct. 348, 72 L.Ed. 624 (1928). Congress has the authority to modify, impair or destroy private contractual obligations. *In re Boulders on the River, Inc.*, 218 B.R. 528, 538 (D. Or. 1997), citing *Continental Illinois Nat. Bank & Trust Co. of Chicago v. Chicago, Rock Island & P. Ry. Co.*, 294 U.S. 648, 680, 55 S.Ct. 595, 608, 79 L.Ed. 1110 (1935). But it has not extended that awesome authority to the FMC or its ALJs, and no intelligible principle exists in the Shipping Act to invalidate signed agreements between ocean carriers and shippers by declaring a particular amendment to a contract “involuntary.” In fact, the contrary is clearly true.²⁴

Since 1984, the FMC has explicitly lacked subject matter jurisdiction to decide breach of contract claims. Claims brought under 46 U.S.C. § 41102(a)(2) for various “service contract violations” do not fall under the ambit of the Shipping Act, which in fact specifically denies the Commission jurisdiction to address such service contract claims.²⁵ 46 U.S.C. § 40502(f) provides that: “[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” The plain meaning of this provision is that “a breach of a service contract” can only be remedied by a court (unless the parties agree otherwise) awarding breach of contract damages (or liquidated damages, if parties provide for it in a service contract).²⁶ Shippers cannot seek reparations for a breach of contract at the FMC, but reparations for an alleged

²⁴ Should the FMC maintain that it does not have jurisdiction to adjudicate constitutional claims, it should stay these proceedings to allow such claims to be adjudicated by the appellate courts, rather than ignore them and proceed with resolving the claims presented as though it possesses jurisdiction.

²⁵ “...common carriers [are] afforded the maximum flexibility to differentiate their service contract terms and conditions with respect to individual shippers and ocean transportation intermediaries in this more competitive environment.” S. Rep. 105-61 at 29(emphasis added).

²⁶ See 46 U.S.C. § 40502(c)(8).

breach of contract is precisely what the ID has ordered.²⁷

And the ID fails to follow the Commission's own precedent on the issue with respect to what are claims properly outside the FMC's authority, and what is a Shipping Act violation. The Commission has held that, for 46 U.S.C. § 40502(f) "to have meaning, it must have been intended to preclude the filing of some complaints of Shipping Act violations, and not just breach of contract claims, as such claims would not be actionable before the Commission in any event."²⁸ Claims "premised on the obligation to meet one's contract commitments" are thus "outside its jurisdiction," even if they also might be framed by complainants as Shipping Act claims.²⁹

We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.³⁰

More specifically, the Commission in *Cargo One* expressly recognized that claims asserted under 46 U.S.C. § 41104(a)(2) (prior to codification at 41104(a)(2)) are essentially breach of contract claims and may not be adjudicated by the Commission absent special circumstances:

"[W]e find that the alleged violations of sections 10(b)(1) and (3) are substantially contract law claims. Sections 10(b)(1) and (3) are premised on the obligation to meet one's contract commitments, and are therefore essentially breach of contract actions which section 8(c) renders not properly before the Commission in the absence of evidence offered by complainant (as the party bearing the burden of proof) that some extraordinary aspects of the allegation distinguish it substantially from a breach claim."³¹

²⁷ See *ANERA*, supra.

²⁸ *Cargo One, Inc. v. Cosco Container Lines Co. Ltd*, FMC Dkt. 99-24, 2000 WL 1648961, at *14 (FMC Oct. 31, 2000).

²⁹ *Id.*

³⁰ *Id.*

³¹ *Id.* at *15. On remand of *Cargo One*, the ALJ recognized the Commission's determination that claims under 46 U.S.C. § 41102(a)(2), are not generally cognizable at the FMC, stating that "it seems clear that the Commission intended that the ALJ dismiss the complaint herein as to [46 U.S.C. 41104(a)(2)]." 29 S.R.R. 620, 621 (ALJ, Admin. Final 2002).

The Complainant does not allege any unusual, much less “extraordinary” circumstances that would pull the claims regarding 46 U.S.C. § 41102(a)(2) out from the judicial courts’ realm and into the FMC’s sanctum. This limitation has been recognized post-*Cargo One* by an FMC ALJ dismissing a similar complaint.³² There, the ALJ analyzed the claim as follows:

“The questions of whether [the parties], through their course of dealing in the earlier service contracts, intended “that rates provided for in the Service Contract would be adjusted upward and downward as necessary in order to remain competitive in the frequently fluctuating ocean transportation market” and, if so, whether [Respondent] *breached its duty to reduce the rates, do not “involve elements peculiar to the Shipping Act,”* *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. at 1645, *but are inherently contract claims - questions of fact and interpretations of the service contract - that the Act and the 2012 Service Contract require to be answered by an arbitrator.* 46 U.S.C. § 40502; Hapag-Lloyd Boiler Plate ~ 15. The other issues raised in the Complaint (i.e., “due to administrative errors and untimely corrections from Hapag’s contract processing center, Global Link had been unable to book with Hapag at times due to service contract mistakes and delays, which made it physically impossible to book with Hapag” (Complaint ¶ IV.X); alleged failure to provide adequate administrative support, alleged reduction under the service contract, alleged failure to address the MQC shortfall under the service contract, see Complaint ~ IV.GG) are also inherently contract claims reserved for the arbitrator and are not within the Commission’s jurisdiction to decide.

As in *Global Link*, BBY’s complaint asserting violation of 46 U.S.C. § 41102(c)(failure to establish or observe a reasonable practice) “attacks the service contract itself.”³³ But the ID has not articulated why its holding departs from the analysis established in *Global Link* and other FMC decisions since *Cargo One*. Accordingly, the FMC has no jurisdiction over BBY’s claims.

The absence of FMC jurisdiction over breach of contract claims has been identified in a number of recent decisions. In *Elite Logistics Corp.*, cited below, the ALJ explained:

In general, the Commission’s jurisdiction is limited to hearing matters that arise under the Shipping Act. The Commission may not hear common law claims, such

³² *Global Link Logistics, Inc. v. Hapag Lloyd AG*, 2014 WL 5316345, at *29 (ALJ 2014)(granting motion to dismiss for lack of jurisdiction over breach of contract claim)(settled before FMC review).

³³ *Id.* at *25.

as breach of contract claims. For example, in *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Dkt. No. 99-24, 2000 WL 1648961, at *14-15 (FMC Oct. 31, 2000), the Commission vacated and remanded an administrative law judge's decision denying a motion to dismiss the complainant's claims. ***The Commission stated that the complainant's claims were substantially contract law claims, even though they were identified in the complaint as alleged Shipping Act violations. (Id., at *15).*** The Commission stated that such claims were not properly before the Commission in the absence of any showing that "some extraordinary aspects of the allegation distinguish it substantially from a breach claim." (Id. at *15). . . . Because the claim here does not appear to arise under the Shipping Act, but instead appears to be more akin to a breach of contract action, or collection action, the Commission does not have jurisdiction."³⁴

Recently, an ALJ has dismissed a counterclaim under 46 U.S.C. § 41104(a)(2) because the claim, like the claim here, sought damages for the respondent's alleged failure to meet the requirements of the service contract.³⁵

But even if the Commission were to have authority to make such a determination, the ID has not met the applicable standards required to find a violation of either § 41104(a)(2)³⁶(service

³⁴ *Elite Logistics Corp., v. Tanera Transport LLC*, 2026 WL 374206, at *3 (Initial Decision)(February 4, 2026)(emphasis added). See also, *Brooke Gibson v. Formula Global Mobility*, 2026 WL 911789, at *11 (Initial Decision)(admin. final April 28, 2026) and *Persimmon Augst v. Transparent Logistics LLC*, 2026 WL 657092, at *23(Initial Decision)(admin. final March 31, 2026)("It can be fairly asked if the Commission should be hearing this matter, as it largely appears to be a case about common law contract interpretation and breach.")(internal citations omitted).

³⁵ *MSRF, Inc. v. HMM Co. Ltd.*, 2023 WL 8242695 (FMC Nov. 22, 2023).

³⁶ Requires proof that a common carrier provided service that was not "in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract." That is the filed rate doctrine, which does not require that any particular rate be at a certain quantum or can be "to high" or "too low" and there by "unreasonable" as the ID finds, e.g., at FOF 144. Although the ID asserts that "[d]etermining if a practice is reasonable is not rate setting," ID at 110, but that is precisely what the ID does finding the rates OOCL applied, which were the applicable service contract rates and therefore consistent with 41104(a)(2), were too high and therefore "unreasonable." Judge Wirth just granted a motion to dismiss a Section 41104(a)(2) claim noting:

The motion alleges that the "Complaint nowhere alleges that COSCO assessed rates or charges, or imposed classifications, rules, or practices other than those specified in the Service Contract" so that the complaint fails to state a claim. Motion at 13.

not in accordance with a service contract)(Count III) or § 41102(c)³⁷(unreasonable practices for failing to meet service contract commitments)(Count I).

III. The ID erred in failing to disqualify BBY's liability expert John McCown and in giving weight to his opinions.

BBY's expert John McCown's report stated he was retained to offer opinions "related to processes and business practices in the container shipping sector ... and BBY's damages."³⁸ But, as addressed in OOCL's motion to exclude (Doc. 101, incorporated by reference), McCown's limited industry experience was insufficient to support his opinions,³⁹ his opinions were not based on sufficient information or trustworthy data, nor were they backed by any reliable methodology whatsoever, much less the methodology the *current* Evidence Rules require. In summary, OOCL argued and provided demonstrable evidence that McCown's testimony was inadmissible under

The opposition does not address this argument. The complaint does not allege that it was charged rates different from the rates in the service contract, rather, it alleges that Respondents unreasonably attempted to change the terms of the service contract. Complainant has not plausibly alleged a violation of section 41104(a)(2) and the motion is granted.

Docket No. 25-26, *MAC Industries v. COSCO* (ALJ Order granting motion to dismiss)(May 26, 2026) available at [https://www2.fmc.gov/readingroom/docs/25-29/\(16\)%2025-29%20Order%20on%20Motion%20to%20Dismiss.pdf/](https://www2.fmc.gov/readingroom/docs/25-29/(16)%2025-29%20Order%20on%20Motion%20to%20Dismiss.pdf/).

³⁷ Requires (among other things) proof that a common carrier's practice was unreasonable and pursuant to 545.5, proximate cause (discussed below). The ID notes the FMC "no longer engages in rate setting." ID at 110. For the international trades, it never did. But even with such recognition, the ID expands "practice" to engulf "rate setting" by the sleight of hand of the "application of a rate", thereby rendering the both the filed rate requirement of 41104(a)(2) and the recognition that the FMC does not engage in rate setting completely meaningless.

³⁸ ID at p. 12.

³⁹ McCown has no experience in any aspect of the ocean shipping industry since 2008, and his experience specific to container shipping is limited to working as a financial manager for U.S. Lines, Inc. (ending 1988) and from 1988 to 2008 working for a carrier that only operated a few ocean-going barges carrying truck trailers in a small, Caribbean and domestic trade, hardly qualifying him as an expert on the Asia-US trade in 2020.

FRE702,⁴⁰ as well as Rules 402 and 403.⁴¹

Respectfully, ALJ Wirth erred in the ID by permitting into evidence and generally adopting fatally defective opinions of BBY's expert. The ALJ applied an outdated version of FRE 702, leading her to wrongly conclude that "OOCL's arguments [regarding] Mr. McCown's testimony ... *apply to the weight* to be given to his opinions, *but not to their admissibility*."⁴² In doing so, she improperly ignored the 2023 amendments to FRE 702, which were drafted to correct a disturbing trend that had led to erroneous "admission of inadequately supported and flawed opinion evidence" under the incorrect premise that "critical questions of the sufficiency of an expert's basis, and the application of the expert's methodology, [were] questions of weight and not admissibility."⁴³

Current FRE 702 provides that "expert testimony must not be admitted unless the proponent demonstrates to the court that it is *more likely than not* that the proffered testimony meets the admissibility requirements set forth in the rule."⁴⁴ BBY failed to meet that standard and the ALJ failed to exclude McCown's testimony as mandated by the **current** FRE 702 standard.

Once OOCL objected to McCown's proffered opinions, it was BBY's burden to show, by a preponderance of the evidence, that McCown's opinions and underlying methodology reflected

⁴⁰ Inadmissible because BBY did not establish that (a) his testimony was not based on scientific, technical, or other specialized knowledge and would not help the trier of fact, (b) his testimony was based on insufficient facts and data and founded upon unreliable principles and methods, and (c) his opinions did not reflect a reliable application of the principles and methods appropriate to the case. Even if admissible under more flexible APA and FMC standards, his testimony is so flawed as to be unpersuasive.

⁴¹ McCown's testimony was frequently irrelevant or otherwise improper (*e.g.*, opining on witness mindsets, offering legal conclusions, opining despite no reliable methodology, etc.).

⁴² ID at p. 12 (emphasis added).

⁴³ Fed. R. Evid. 702 advisory committee's note to 2023 amendment; see also *Finite Util. Consulting, LLC v. Tawa Inc. (Retail)*, No. H-23-432, 2025 WL 1544044, at *2 (S.D. Tex. May, 29, 2025) ("[I]t was this kind of error—the admission of inadequately supported and flawed opinion evidence—that led to the recent 2023 amendment to Rule 702.").

⁴⁴ Fed. R. Evid. 702 advisory committee's note to 2023 amendment (citing Fed. R. Evid. 104(a)).

“a reliable application of the principles and methods to the facts of the case.”⁴⁵ The ALJ improperly flipped the burden of proof from BBY (*i.e.*, the proponent of McCown’s testimony) to OOCL based on a flawed understanding of the controlling evidence rule. That was error. As one district court has explained amended FRE 702 in a similar challenge to a proposed expert’s testimony, admission of inadequately supported and flawed opinion evidence led to the 2023 amendment; “emphasizing the preponderance standard [for admissibility] in Rule 702 specifically was made necessary by the courts that have failed to apply correctly the reliability requirements of that rule.”⁴⁶ Because McCown’s opinions fail to meet each of the individual tests under FRE 702, and when such tests are considered collectively, there was no assurance of the testimony’s trustworthiness, his testimony must be excluded.⁴⁷

This error led not only to an unsupported decision on the merits, but it also led the ALJ to incorrectly adopt McCown’s calculation of reparations. BBY failed (indeed did not try) to show by a preponderance of the evidence that McCown’s opinions and testimony were admissible. The FMC should apply the current standard and exclude McCown’s testimony.

IV. The ID errs in declining to reopen discovery.

On December 9, 2025, OOCL moved to reopen discovery for the limited purpose of vetting BBY’s claimed reparations to identify bogus claims for the same shipments from multiple carrier respondents in different FMC proceedings.⁴⁸ The motion sought discovery of appendices produced by BBY’s expert in a case brought by BBY against Yang Ming, FMC Docket No. 23-10, to compare those appendices with the appendices attached to Mr. McCown’s expert report in this

⁴⁵ Fed. R. Evid. 702(d).

⁴⁶ *Finite Util. Consulting, LLC v. Tawa Inc.*, No. CV H-23-432, 2025 WL 1544044, at *2-3 (S.D. Tex. May 29, 2025) (“[t]he issue here is one of quality, not quantity. It was [BBY]’s burden to ensure the admissibility of its expert testimony.”).

⁴⁷ See *id.* (proper analysis takes all factors together).

⁴⁸ See Doc. No. 140.

case. OOCL argued in its motion to reopen discovery that,

[i]f a comparison of the appendices in Yang Ming and OOCL's cases, or in the other FMC cases filed by BBY against ocean carriers, demonstrate BBY is claiming damages from the same shipments from multiple parties, grounds exist to supplement the record with this evidence, including supplementing OOCL's motion to strike John McCown as an expert witness."⁴⁹

The ALJ reasons that "reparations are awarded for the shortfall—the number of containers OOCL agreed to but did not transport at the agreed upon price." ID at 13. As to the appendices used by Mr. McCown (unsupported by any admissible evidence), and indicating a complete lack of understanding of the industry the FMC purports to regulate, the ALJ reasoned that "BBY's charges from NVO/FFs to transport containers are relevant to quantifying the actual injury [but] [t]his data is not specific to any particular carrier, just as cargo is not specific to any particular carrier, but rather actual data regarding BBY's costs." *Id.* Relying on that bizarre and misguided logic, she concludes: "it would be odd if these actual costs incurred by BBY varied from one case to the next. Moreover, BBY does not have to correlate individual shipments for which it seeks reparations to a specific denial of a booking request for that individual container." *Id.* ⁵⁰

By failing to allow the limited discovery into McCown's expert reports in other cases asserted by BBY, even after overwhelming proof that McCown's appendices lacked any reliable foundation, the ID treats OOCL and all other defendants against whom BBY has brought claims as jointly and severally liable for all damages asserted by BBY. In a decision that is sure to allow

⁴⁹ Doc. No. 140 at 2.

⁵⁰ Of course, the total volume and nature of cargo BBY moved on all carriers during the period was finite and determinable; different commodities, moreover, are typically transported at different rates. There is no discussion, however, of what BBY's total MQC commitments for the relevant years across all ocean carriers may have been, or what the commodities were, or what the applicable rates would have been, or how much cargo BBY may have reserved for "spot" movements to play the market. Without knowing those figures, the ALJ could not have reasonably determined the quantum of injuries caused by OOCL, as opposed to that caused by any other ocean carrier who failed to meet the original (unamended) MQC in its contract with BBY during the same period.

BBBY a windfall of multiple recoveries for the same claimed harms, the ID dispensed with BBBY's burden of proof and thereby prejudiced OOCL by saddling OOCL with all reparations BBBY claims it is entitled to due to any and all ocean carriers with whom it may have contracted—without proof of causation *by OOCL*, which constitutes an arbitrary and capricious finding.

V. The ID applies the wrong burden of proof.

Even assuming that BBBY established a violation, which OOCL denies, such showing does not entitle the complainant to reparations. Reparations may be awarded only “for actual injury *caused by* a violation of this part.” 46 U.S.C. § 41305(b) (emphasis added). And the Commission has long held that to award reparations, it must find that the complainant has independently proven, by a preponderance of the evidence, that the violation shown was the *proximate cause* of an actual, quantifiable pecuniary loss. *See* 46 C.F.R. § 545.4(e); *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022).

BBBY has not carried—and cannot carry—its burden of proving that OOCL's challenged practices were the proximate cause of any cognizable, much less quantifiable, injury. Although the FMC has recently refined the methodology for proving certain reparations, in *MCS Industries, Inc. v. MSC Mediterranean Shipping Co. SA*, Docket No. 21-05, 2024 WL 3514613 (FMC July 16, 2024), *aff'd sub nom. MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222 (D.C. Cir. 2025)(“MCS”), and *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S*, Docket No. 21-11, 2024 WL 4034610 (FMC Aug. 27, 2024)(appeal pending)(“OJ Commerce”), neither of those decisions excuse BBBY from the threshold requirement of demonstrating proximate causation.

A. Applicable Legal Standard.

- (1) *The complainant bears the burden of proof, and that burden does not shift.*

Under the APA and the FMC's rules, "the proponent of a rule or order has the burden of proof."⁵¹ The FMC has repeatedly confirmed that, in a Shipping Act adjudicative proceeding, the burden of persuasion rests squarely with the complainant and *does not shift*.⁵²

To prevail, BBY must prove each claim element by a *preponderance* of the evidence—meaning its allegations are "more probable than not."⁵³ The ID in this case reaffirms each of these settled principles, ID at 120-21, but inexplicably ignores them.

(2) *Proximate cause is an independent and required element of any § 41102(c) claim.*

As quoted above, the Shipping Act itself demands proof of proximate causation before any reparations may be awarded. For claims under § 41102(c), this is implemented by Commission Rule 545.4, which requires a complainant to prove, *inter alia*, that “The practice or regulation is **the proximate cause of the claimed loss**” “in order to establish a successful claim for reparations.” 46 C.F.R. § 545.4(e) (emphasis added).

46 C.F.R. § 545.4(e) simply restates the general rule applicable to all complaint cases. The Commission has long emphasized that proof of a violation, standing alone, is not enough to award reparations. As it explained in *MAVL Capital*, “there is no presumption of damage, and the violation in and of itself without proof of pecuniary loss resulting from [the] unlawful act does not afford a basis for reparations.” 2022 WL 2209421, at *3. The complainant thus bears two distinct burdens: (i) proof of an underlying violation; and (ii) proof that *specific* pecuniary losses flow from that violation as a matter of cause and effect.⁵⁴ Where the record is silent or speculative on

⁵¹ 5 U.S.C. § 556(d); *see also* 46 C.F.R. § 502.203.

⁵² *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014).

⁵³ *Crocus Investments, LLC v. Marine Transp. Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021).

⁵⁴ *See, e.g., Marie Carew D/b/a/ Holiday Shipping, Complainant v. Maersk Line A/s & John Does, Respondents.*, 2021 WL 5195751, at *9 (ALJ)(admin. final).

causation, reparations must be denied even if a violation has otherwise been proved. *MAVL Capital*, 2022 WL 2209421, at *3.

B. MCS and OJ Commerce Do Not Relieve BBY of Its Causation Burden.

(1) MCS did not disturb the causation requirement.

In *MCS*, the Commission affirmed an ALJ's reparations award where the complainant proved an MQC shortfall and used the differential between its service-contract rate and spot-market rates for replacement shipments.⁵⁵ The Commission rejected an "excessively high standard of proof" that would require tying each spot shipment to a prior denial "in this context."⁵⁶ That *context* was a default judgment scenario, where the FMC said:

[t]he causal link between Mediterranean's conduct and MCS's damages is particularly evident because, when default has been entered and liability determined, as in this case, the factual allegations are deemed to be admitted. [citations omitted]. That means that, although it is still necessary to make an independent determination as to the amount of reparations, it has been established by MCS's Amended Complaint (verified by Montesano) that Mediterranean's unlawful failure to meet its obligations to MCS as to the time periods and port pairs at issue caused MCS to need to seek carriage from other sources and to have to pay higher rates for that carriage.⁵⁷ That is not the context here.

Moreover, the Commission in *MCS* did not abrogate § 545.4(e). The complainant still had to demonstrate—and did so through the entry of default—that the carrier failed to carry the contractually committed volume requiring replacement shipments. The FMC accepted that proof *because the causal chain was apparent on the record due to the entry of default.*

(2) OJ Commerce presupposed a concrete, documented causal link.

Likewise, in *OJ Commerce*, the Commission affirmed a reparations award based on a documented MQC shortfall: "185 FEU were shipped out of an MQC of 200 for the 2020-21 service

⁵⁵ 2024 WL 3514613, at *8.

⁵⁶ *Id.*

⁵⁷ *Id.*, at *19.

contract, resulting in a shortfall of 15 FEU.”⁵⁸ That methodology only worked because a causal chain was established on the record—the Commission did not relax the causation requirement; it applied it to a record that already satisfied the requirement on its face.

The ID here finds proximate cause on Counts I and III, ID at 146, but its analysis is conclusory and bypasses the specific evidentiary showings necessary to prove causation. The finding of unreasonable practices set forth in the ID rest on alleged systemic design defects in OOCL's space allocation and booking systems. Nothing in the ID (or the record) established any proof of causation between such alleged imperfections and BBY's actual injuries as evidenced by bookings or attempted bookings. The ID asserts (wrongly): that bookings exceeding OOCL's Customer Space Allocation List (“CSAL”) were *always* rejected in their entirety rather than partially filled;⁵⁹ that CSAL operated on a “use it or lose it” basis without rollover;⁶⁰ that internal CSAL data was unreliable, with bookings declined at a rate exceeding 37.9% as of September 2021;⁶¹ that OOCL accepted bookings beyond available space, rendering “confirmations” of limited value;⁶² and that CSAL was “designed to maximize OOCL profits” rather than to deliver the contracted MQC.⁶³ Although these purported findings are in fact untrue, as a hearing would have demonstrated, they at most describe the alleged character of OOCL's practices—not their causal effect on BBY in particular. They establish, at most, that flaws in CSAL may have been capable of having a detrimental effect on some shippers in certain specific circumstances; but they

⁵⁸ 2024 WL 4034610, at *30.

⁵⁹ ID at 129-30. A simple review of OOCL's Spotfire graphs reveals numerous instances where OOCL provided space to BBY above BBY's allocations. *See* footnote 124 and page 38 below.

⁶⁰ ID at 132.

⁶¹ ID at 133.

⁶² ID at 133.

⁶³ ID at 134. In reality, OOCL's space allocation system has nothing to do with revenue and everything to do with managing efficient and quality service for thousands of global shippers concurrently.

do not establish that it actually caused the actual injuries BBY claims. These imperfections are at most correlation, and absent any evidence showing BBY's attempted and declined bookings, they do not prove causation. The ALJ illogically extrapolated particular anecdotal accounts of problems occurring at specific times (the vast majority of which were unrelated to BBY) and leapt to the wrongful conclusion that such problems occurred specifically to BBY and did so constantly to every shipment BBY moved throughout the shipping years at issue.⁶⁴ There is simply no evidence in the record to support that proposition. In fact, the specific evidence as to BBY produced by OOCL demonstrates the contrary.⁶⁵ Further, OOCL's industry performance demonstrates the more than reasonableness of its allocation system, most notably during the unprecedented disruptions of the pandemic in a time of severe capacity constraints when OOCL successfully carried millions of containers for thousands of shippers between Asia and the United States.⁶⁶ OOCL's space allocation and booking system worked for well over 99% of its

⁶⁴ The Commission's assessment that, in times of capacity shortage, common carriers equitably pro rate their available capacity (see *Banana Distributors, Inc. v. Grace Line*, 5 F.M.B. 615, 625 (1959)) cannot stand for a proposition that at times when a common carrier (such as during the pandemic disruptions) cannot serve all their customers at the capacity for which they contracted, that the carrier must pay every customer that had a shortfall reparations under the Shipping Act as measured by the highest price in the market, in contravention to the terms agreed upon in the liquidated damages provision of the service contract. But this would be the result if the Commission adopts the reasoning of the ID.

⁶⁵ See discussion below and RPFs 177, 180–181, 232, 276–282, 300–301, 324, 344–345, 400, 421, 509–512, 550–555, 561–564, 568–573, 576–614.

⁶⁶ See *Levantino & Sons, Inc. v. American Export Isbrandtsen Lines, Inc.*, 18 F.M.C. 102, 104 (1974) ("A carrier must establish a reasonable plan in order to cope with periods of congestion and must fill its capacity in a reasonable and just manner when such periods occur."); *Grace Line Inc. v. Federal Maritime Bd.*, 280 F.2d 790, 793 (2d Cir. 1960) (addressing carrier obligations during periods of cargo shortage and high demand); *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm'n*, 390 U.S. 261, 282 (1968) (reasonableness analysis is relational and depends on the actual context of services performed and benefits conferred); ID at 146 (acknowledging "unprecedented supply chain dislocations and resulting congestion" during the 2020–2022 shipping years); *MCS Industries, Inc. v. MSC Mediterranean Shipping Co. SA*, Docket No. 21-05, 2024 WL 3514613 (FMC July 16, 2024) (analyzing carrier conduct against backdrop of extraordinary pandemic-era market conditions), aff'd sub nom. *MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222 (D.C. Cir. 2025) (the DC Circuit did not address causation); *OJ Commerce, LLC v. Hamburg*

customers.⁶⁷ That is, on its face, a reasonable system.

Further, the ALJ's leap from OOCL having relied on its "unreasonable system" to OOCL's alleged violations of the Shipping Act having been the "proximate cause of BBY's losses" is devoid of supporting facts. BBY presents no evidence of an MQC shortfall figure that is tied to OOCL's alleged failure to perform—indeed, the parties contemporaneously agreed to amend the contract to adjust the MQC downward to reflect actual carriage,⁶⁸ although the ALJ found those amendments void *ab initio* as involuntarily signed by BBY. Compare, *Global Link, supra*. BBY presented no evidence tying OOCL's alleged failure to provide space and accept BBY bookings to the 4,000 or so containers that BBY says it had to ship at higher rates by other carriers or NVOCCs because of OOCL's allegedly unreasonable conduct, as distinguished from pandemic-era congestion, terminal-side dysfunction, equipment shortages, or BBY's own forecasting, inventory and shifting sourcing miscalculations, and failures to properly book its cargo with OOCL (e.g., by failing to timely book, by failing to book within the proper service loops, by failing to book where it had advised OOCL to allocate space, by booking more than its allocation in a particular loop, double-booking with OOCL and multiple carriers, etc.).⁶⁹ And there is no shipment-level reparations calculation that ties specific "spot-market" replacement shipments to specific OOCL denials of space, with verifiable rate differentials. BBY's expert McCown instead

Südamerikanische Dampfschiffahrts-Gesellschaft A/S, Docket No. 21-11, 2024 WL 4034610 (FMC Aug. 27, 2024) (same); *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC—Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-09, 2022 WL 1239377 (FMC Apr. 22, 2022) (recognizing pandemic-era operational constraints in evaluating carrier conduct); *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Docket No. 13-07, 2014 WL 5316345 (ALJ Apr. 17, 2014) (industry-wide practice of drawdown amendments to reflect actual carriage during periods of operational stress is "consistent with the industry-wide practice in the ocean transportation industry").

⁶⁷ Of OOCL's thousands of shipper customers, only four filed claims with the FMC relating to the pandemic.

⁶⁸ ID at 137-38.

⁶⁹ RPFF 628.

worked from BBY's own aggregate, system-level data—precisely the methodology OOCL's expert Mr. Steffen identified as failing to “demonstrate with reasonable certainty that there was an actual shortfall between the space provided by OOCL and what was required of OOCL under either Service Contract.”⁷⁰

This is the gap that neither *MCS* nor *OJ Commerce* will bridge. The Commission expressly held, as it must in light of its own regulations and the APA, that the complainant's burden is to prove damages “with reasonable certainty.”⁷¹ Here no certainty exists, reasonable or otherwise. Speculation about what BBY might have shipped and when, on which vessels, from which ports, to which ports, and at what rates in a perfect, counterfactual world without OOCL's allocation system is not a substitute—nor is reliance on aggregate market data. Because BBY's record lacks the granular causal-chain evidence required, those decisions provide no path around § 545.4(e); they confirm its rigor.

(3) The ID's Count II analysis exposes deficit in its causation findings on Counts I and III.

The ID's treatment of BBY's detention-and-demurrage (“D&D”) claim under Count II illustrates the very discipline that § 545.4(e) demands and that *OJ Commerce* presupposes, but that the ALJ failed to apply to Counts I and III. Rightly rejecting claims that OOCL's D&D charges were unreasonable, the ALJ held, on an independent ground, that “BBY has also not established that unreasonable rates were the proximate cause of BBY's detention and demurrage losses.”⁷² That alternative holding is the operative analysis here. The ALJ's analysis here was correctly, rigorously shipment-specific: “[i]f the containers had been picked up within free time, then,

⁷⁰ APP 3957.

⁷¹ *OJ Commerce*, 2024 WL 4034610, at *24.

⁷² ID at 151. Although the ALJ misapplied *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm'n*, 390 U.S. 261, 282 (1968))(ID at 150), that misapplication is of no moment, as her finding that BBY failed to show causation between the alleged violation (D&D rates) and the alleged damages was correct and supported by years of consistent FMC precedent.

regardless of the rates, there would have been no charges incurred by BBY. Therefore, it is important to determine why the containers were not picked up within free time and why the D&D charges were incurred. BBY has not presented evidence of why specific containers were not picked up within free time.”⁷³ That is precisely the particularized inquiry § 545.4(e) requires: a focused examination of whether the alleged violation, rather than some independent factor, *actually caused* each component of the actual injury alleged.

It is puzzling and unexplained why the ALJ did not apply that same discipline to Counts I and III. There, the ALJ accepted causation in a single conclusory sentence keyed to the existence of an unreasonable practice — “OOCL's reliance on an unreasonable space allocation system was the proximate cause of OOCL's failure to transport the MQC,” ID at 146—without examining (i) why specific cargo may not have been booked or loaded on OOCL's service; (ii) whether independent pandemic-era market forces would have produced the same shortfall regardless of OOCL's allocation system; (iii) why the parties' contemporaneous drawdown amendments did not reflect a market-driven, rather than carrier-driven, cause of the alleged shortfall; or (iv) which of BBY's claimed losses are actually traceable to OOCL's conduct as distinct from generalized industry conditions or the actions of other carriers targeted by BBY's copy-paste FMC complaints. The ALJ's Count II analysis required BBY to explain “why specific containers were not picked up within free time”; the analysis for Counts I and III, on the other hand, demanded no comparable showing of why specific cargo or containers were not loaded or why specific premium charges were paid as a result of OOCL's conduct rather than BBY's strategic choices or market conditions.⁷⁴ This asymmetry is arbitrary and capricious. The same questions the ALJ asked of the

⁷³ *Id.*

⁷⁴ BBY was well aware that the secondary or premium contract was a separate space commitment from the traditional annual service contract. APP 822 (Hackett Tr. 37:4-18). In an email dated January 21, 2021, BBY's Paul Pastor wrote the following to the booking agent Pacy Chow at

D&D record should have been asked of the space-allocation and premium-pricing record—and asked candidly, they yield the same result: BBY has not carried its causation burden.⁷⁵

C. BBY Has Not Met Its Burden of Proving Causation.

- (1) *BBY has not demonstrated that OOCL's conduct—rather than pandemic-era market forces and its own booking practices—caused the claimed injuries.***

It is beyond argument that the 2020 to 2022 shipping years witnessed “unprecedented

Yusen:

Pacy, follow up to OOCL premium rate contract we signed this week. OOCL has put aside a separate allocation for BBB under this contract for weeks note below.

It is important we take advantage of this space.

[OOCL's Jim Mitchell] reached out to me today and noticed we have not used all the space for week 5 on the EXC services into the USEC.

Please any orders that are not yet conformed for these lanes and that cargo is available, please try to use this space.

RX-001235-37 (Ex. 292, P-0000179277) (Emphasis added).

Mr. Pastor testified that BBY moved cargo on “extra loaders” (*i.e.*, vessels not in regular rotation brought in specially from other trades during periods of high demand) during the peak seasons of both service contract years because it shipped more than its total MQC:

Q. So did you bring in more containers during those service -- those two years -- 2020/'21 and 2021/2022 -- than you had contracted for in the spring of each of those years with the various ocean carriers?

MR. RUSHING: Objection. Form.

A. Yes. Senior management contracted out to work with -- you know, to bring in cargo on extra loaders or charter vessels.

...

Q. I understand what the objective is. But isn't it true that you ended up shipping so much more volume that you needed to have extra capacity during the pandemic years? Correct?

MR. RUSHING: Objection to form. Mr. Pastor, you can answer, if you understand.

A. Okay. Did we add some extra volume? I'm sure we did have some extra volume. But what percentage is against the MQC, I couldn't tell you right now.

APP-1953-54 (Pastor Tr. 96:23-99:6).

⁷⁵ As discussed herein the ALJ similarly erred by not allowing for the re-opening of the record to take evidence on BBY's duplicative/overlapping claims against multiple carriers seeking reparations for the same alleged injuries.

supply chain dislocations and resulting congestion.”⁷⁶ Port congestion, terminal-appointment unavailability, vessel-bunching, equipment shortages, and global capacity constraints all bore directly on whether and at what rate cargo could be moved. As OOCL's expert Boris Steffen explained, McCown “did not identify any facts, and perform any independent analysis thereof, to demonstrate with reasonable certainty that there was an actual shortfall between the space provided by OOCL and what was required.”⁷⁷

Mr. Steffen's critique is, at its core, a § 545.4(e) critique. To go from violation to damages, BBY must demonstrate OOCL's space-allocation, booking and pricing practices—rather than other factors such as congestion, BBY's forecasting and booking failures, or terminal-side dysfunction—*proximately* caused the losses claimed. The record contains no such causal proof.

(2) *The MCS methodology cannot substitute for causal analysis on this record.*

Even crediting MCS in the context of the entry of default as to liability, the analysis still presupposes a non-speculative MQC shortfall attributable to the carrier. But here, the parties signed contemporaneous amendments reducing MQC to reflect actual carriage (“drawdowns”).⁷⁸ Those drawdowns are powerful contemporaneous evidence that the parties understood the operational constraints to be the proximate cause of the volume disparity, not OOCL's conduct. These service contracts are between large, sophisticated parties, managed on both sides by shipping professionals, who regularly negotiate amendments to meet dynamic market conditions and who had done so for years. The summary negation of contract amendments made based on volatile market dynamics is not only *ultra vires*, it sets an extraordinarily destabilizing precedent.⁷⁹

In any event, there can be no shortfall on OOCL's part unless BBY properly proffered

⁷⁶ ID at 146.

⁷⁷ APP 3957.

⁷⁸ ID at 137-38.

⁷⁹ See discussion above at pages 6-10.

more cargo to OOCL than OOCL actually carried. If BBY properly proffered less cargo as measured in containers than its MQC, it is BBY that would have a shortfall and seek advantage from the drawdown. In this regard, BBY presented no evidence: (1) of its bookings or attempted bookings with OOCL; (2) that OOCL declined or cancelled BBY's bookings; (3) that BBY's bookings were made according to OOCL's procedures; (4) that BBY timely provided its forecasted container space needs; or (4) that BBY delivered all of the cargo as measured in containers it said it would deliver to OOCL for carriage. In other words, BBY did not provide evidence that it met its contractually obligated MQC fulfillment commitments to tender cargo to OOCL. The ALJ arbitrarily and capriciously ignored BBY's failure to carry its burden of proof and improperly shifted that burden to OOCL.

The ID rejects the drawdowns as the appropriate measure of shortfall.⁸⁰ However, a reasoned causal analysis must explain why a contemporaneous, mutually executed contract amendment between large, sophisticated businesses reflecting contract satisfaction is *not* probative of causation. Further, there exists no factual evidence in the record that BBY's signatories signed the amendments or the separate premium rate service contracts involuntarily or under duress or coercion.⁸¹

(3) *The § 41104(a)(2) theory cannot cure the causation deficit.*

BBY's alternative theory under § 41104(a)(2) (the "filed rate doctrine") covers the same conduct and seeks the same damages as Count I.⁸² It cannot supply causation missing under § 41102(c). BBY cannot evade § 545.4(e) by re-pleading the same alleged unreasonable practice under a different statutory provision; the causal chain between the alleged deviation and the

⁸⁰ ID at 138-39.

⁸¹ APP 3261-92, 3360-753 (Exs. 163, 332-379); APP 1177-78 (Kastin Tr. 144:17-147:22); RPF 633, 634, 636, 637.

⁸² ID at 155.

claimed pecuniary harm must still be proved by a preponderance of the evidence.⁸³

The complainant in a Shipping Act case must prove not only that a respondent violated the statute but also that the violation proximately caused identifiable, quantifiable injury.⁸⁴ Neither *MCS* nor *OJ Commerce* disturbed that requirement, which BBY failed to meet.

The ID's Count II (D&D) analysis confirms what § 545.4(e) requires. There, the ALJ refused to assume causation and demanded BBY explain "why specific containers were not picked up within free time."⁸⁵ Applied evenhandedly to Counts I and III, it compels the same result. BBY has not isolated OOCL's conduct from well-documented pandemic-era forces that independently constrained ocean carriage during 2020–2022; it has not reasoned through the contemporaneous drawdown amendments the parties executed; it has not identified why specific containers were not loaded or why specific premium charges were agreed upon; and it has not, through *any* expert or fact witness, supplied the "reasoned causal apportionment" *OJ Commerce's* reasonable-certainty standard demands. The conclusory proximate cause finding at ID 146 cannot be reconciled with the rigorous Count II analysis at ID 151.

The bottom line is straightforward: on the doctrine and on the record, BBY failed to discharge its burden of proving OOCL's challenged practices proximately caused the losses for which BBY seeks reparations. The same causation discipline the ID correctly applied to the D&D claim under § 41102(c) mandates rejection of BBY's reparations theories on Counts I and III.

(4) *The Hill Declaration is inadmissible and cannot support BBY's claims.*

The ID improperly relies on BBY counsel Lee Hill's Declaration (the "Hill Declaration") to establish facts necessary to support the ALJ's findings and conclusions. Specifically, the ID

⁸³ *MAVL Capital*, 2022 WL 2209421, at *3.

⁸⁴ 46 C.F.R. § 545.4(e); 46 U.S.C. § 41305(b); *MAVL Capital*, 2022 WL 2209421, at *3.

⁸⁵ ID at 151. (Emphasis added).

acknowledges that “[t]he McCown report does not independently calculate BBY’s PSS [peak season surcharges] and premium contract reparations,” but relies on the Hill Declaration in taking the data relied upon by McCown as true. ID Findings of Fact ¶ 366.

The Hill Declaration is inadmissible evidence and cannot be relied upon to support a finding of fact. It was filed with BBY’s Reply Brief on March 20, 2025, well after discovery closed on November 10, 2024, making it not only untimely, but also after OOCL had filed its reply brief with replies to BBY’s proposed findings of fact and exhibits, denying OOCL the opportunity to cross-examine Mr. Hill on its contents.

The Hill Declaration is also inadmissible because Mr. Hill had no knowledge of the facts underlying the case, he was not designated as a witness by BBY, and it violates the advocate-witness rule. Rule 26 of the FMC’s Rules of Practice and Procedure requires that attorneys practicing before the FMC “conform to the standard of conduct set forth in the American Bar Association’s Model Rules of Professional Conduct[.]”⁸⁶ Rule 3.7 of the ABA Rules provides:

[a] lawyer shall not act as advocate at a trial in which the lawyer is likely to be a necessary witness unless: (1) the testimony relates to an uncontested issue; (2) the testimony relates to the nature and value of legal services rendered in the case; or (3) disqualification of the lawyer would work substantial hardship on the client.”

None of those three narrow exceptions exist here. Rather, BBY failed to produce evidence of any kind that explained or verified the sources of the data upon which its expert relied and upon which the ID is premised. BBY then attempted to correct this glaring omission in its Reply Brief—a submission wherein presenting new evidence is improper—by having an attorney representing BBY testify by declaration that the information was reliable.⁸⁷

⁸⁶ 46 U.S.C. § 502.26.

⁸⁷ The advocate-witness rule seeks to avoid the confusion and prejudice that may result where a testifying lawyer may have to offer arguments about his own credibility, or where adversary counsel may have to cross-examine the testifying counsel, or where there may be an implication that the testifying lawyer is lying to benefit his client. *M.K.B. v. Eggleston*, 414 F.Supp.2d 469,

VI. The ID errs in finding that OOCL violated 46 U.S.C. § 41102(c), Count I, relating to alleged unreasonable practices.

A. Complainant fails to prove Count I relating to space accommodation under § 41102(c) because OOCL met its space obligations.

The service contract MQCs at issue necessarily included two commitments: the amount of space the carrier *provided* and the amount of cargo the shipper *tendered*. While the quantity of cargo actually carried is useful to determine whether there was a shortfall by either party, it does not reveal *why* a shortfall occurred. The ALJ cannot infer evidence based on mere speculation. We address below the problems with BBY's logic, methodology and calculation of MQC shortfall and follow that with references to data from CSAL and OOCL (that is, the space offered by OOCL that BBY subsequently cancelled or failed to deliver containers ("no-shows")).

BBY alleges that OOCL failed during the 2020 and 2021 service contract years to provide the space BBY was entitled to use under the 2020 and 2021 Service Contracts. Importantly, however, BBY's Director of International Supply Chain, Patrick Hackett, testified at deposition that BBY *had no evidence* of any such shortfalls:

Q. Did you ever do an analysis to determine whether or not OOCL provided all of the space that it said it was going to provide?

A. Not to my knowledge.

RPFF 550-59. No testimony or other record evidence shows that anyone at or on behalf of BBY ever calculated how much container space OOCL provided to BBY during the 2020 and 2021 shipping years. Quite to the contrary, abundant evidence demonstrates that no such calculation was ever undertaken.⁸⁸ BBY placed no documents in the record that calculate or otherwise explain the amount of space OOCL provided to BBY over the entirety of shipping years 2020 and 2021. Without such evidence, BBY cannot meet its burden to support its claim

470 (S.D.N.Y. 2006).

⁸⁸ RPFF 560-61.

that OOCL acted unreasonably by failing to provide the space which it was obliged to under the service contract.

In support of its contention that OOCL failed to provide the obligated space during the 2020 service contract year, BBY cites on page 14 of the Complainant's Brief to the following purported evidence in its proposed finding of fact 101:

See 1AC ¶ 35⁸⁹ [APP-85]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs "SY 20", "20 But For," and "20 Damages") [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

When these references are unpacked, they reveal that BBY has cited only to its own Amended Complaint, McCown's expert report, three Excel spreadsheets, and its own supplemental response to OOCL's interrogatories in support of its proposed finding of fact. The purported "evidence" fails to prove BBY's allegations. Firstly, the Amended Complaint is not evidence. The citation to the First Amended Complaint ("1AC") paragraph 35 is therefore irrelevant. Next, BBY cites to Appendices from McCown's Report. Troublingly, Mr. McCown did not prepare the Appendices, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denied by OOCL.⁹⁰ Mr. McCown testified:

Q. Okay. So, essentially, you would agree with me that you accepted the proposition that OOCL only provided 1,475.85 FEUs of space during the 2020 service contract year and only 2,432.74 FEUs of space during the 2021 service contract year, that you obtained from reviewing the original Complaint, correct?

A. Yes, I agree with that.

Q. Do you know where those numbers came from?

A. Those numbers came from Bed Bath & Beyond, from their professionals, Mr. Hackett and other folks in their area.

⁸⁹ With respect to the 2021 service contract year (which ran from May 1, 2021, through April 30, 2022, APP 3261-3292 (Ex. 163)), *see* discussion on page 40 below.

⁹⁰ RPPF 563-64. These same reliability problems also apply to McCown's Appendices B-1 through B-4. RPPF 563-64.

Q. Do you know any specific documents that it refers -- that refer to those numbers?

A. I mean, in quite a few of the depositions they're referenced, but the -- you know, the Complaint was the basis for that.⁹¹

Because Mr. McCown simply parroted the Complaint, without independent investigation, his Appendices are no more relevant, or admissible, than the inadmissible Complaint itself. Neither lends any evidentiary support to BBY's claims, especially in light of Patrick Hackett's testimony that he was unaware of any analysis done to determine whether OOCL met its space obligations.⁹²

In addition to its own allegations in the Complaint and its unreliable expert witness—whose testimony and report are not credible and should be stricken—BBY cites to three Excel spreadsheets to support its contention that OOCL failed to satisfy its space obligations. The first, APP-3357⁹³ lists more than 7,000 containers that have no connection to OOCL in any way. BBY's former general counsel and contractor to the bankruptcy trustee, David Kastin, testified:

Q. Well, I mean, the question -- the interrogatory asked to identify all the containers concerning which OOCL refused to carry or denied a booking. This is a spreadsheet that lists in excess of 7,000 containers with no reference to OOCL. And so I guess the question is which of these containers did Bed Bath, if any -- which of these containers, if any, did Bed Bath attempt to book with OOCL?

A. No independent knowledge.⁹⁴

The lack of authentication and absence of any logical connection to OOCL makes reliance on this spreadsheet by the ALJ pure speculation.⁹⁵

⁹¹ RPFF 565.

⁹² RPFF 292, 550, 560. The non-existence of any such analysis is further evidenced by BBY's failure to submit an analysis for the record.

⁹³ (Ex. 328, P-0000810432) RPFF 569-70.

⁹⁴ RPFF 570.

⁹⁵ BBY contracted each year with numerous VOCCs (MSC, ZIM, LEAP, Hyundai, Yang Ming and COSCO) and NVOCCs (DeWell, Expeditors, Apex, CHR, Hecny, OEC) during the 2020–2022-time frame. RPFF 169; RX-003158-3166, APP-3331-3334, RX-003167-3171 (Exs. 155, 265, 269). The containers listed in Ex. 328 involved NVOs Hecny, DeWell, and VOCCs COSCO, Hapag, MSC, Zim, and others, but not OOCL. APP 3357 (Ex. 328).

The second spreadsheet⁹⁶ was produced by BBY as purportedly responsive to a discovery request that asked for the containers, by container number, that OOCL allegedly refused to carry or denied a booking by BBY. However, Mr. Kastin admitted he did not independently verify the information in the spreadsheet and so testified.⁹⁷ Although Mr. Kastin verified the truth of BBY's discovery responses under oath when BBY produced this document, he had no knowledge of its contents. The lack of authentication and absence of any logical connection to OOCL renders this spreadsheet speculative and of no evidentiary value.⁹⁸

BBY produced the third spreadsheet⁹⁹ as part of BBY's supplemental responses to OOCL's interrogatories. Captioned "BBY Shipments with OOCL During the 2020-2021 Service Contract Term on Service Contract Lanes," it relates to freight charges, ***not allegedly declined bookings***. Kastin testified he did not know who prepared the third spreadsheet, when it was prepared, or the source of the data, and had no independent knowledge to verify the accuracy of the information set forth in the spreadsheet.¹⁰⁰ This spreadsheet is both irrelevant and unreliable.

BBY's final pieces of purported "evidence"¹⁰¹ are excerpts from BBY's supplemental discovery responses, in this case to OOCL's Interrogatory Number 2, which asked: "For every container identified in response to Interrogatory No. 1, identify the date a booking was attempted, where the booking was attempted, by whom, with whom, and the intended load port to destination route." BBY's supplemental answer (again verified by David Kastin) was:

⁹⁶ APP-3358 (Ex. 329, P-0000353819) RPFF 571-72.

⁹⁷ RPFF 572.

⁹⁸ OOCL previously moved to strike the Complaint for lack of a meaningful verification. Dkt No. 90. Although the ALJ denied the motion, the obligation to verify certain documents was imposed by statute, not by Commission rule and cannot be ignored. OOCL maintains that the verification accompanying BBY's Amended Complaint is bogus.

⁹⁹ APP-3359 (Ex. 330, Attachment A to Complainant's Supplemental Interrogatory Responses); RPFF 574.

¹⁰⁰ APP-1152-53 (Kastin Tr. 42:19-43:3; 44:10-46:13); RPFF 574.

¹⁰¹ APP-3345-46 (Ex. 326 at 9, 10), RPFF 568-71.

Subject to and without waiver of the foregoing, Complainant supplements its previous answer to Interrogatory No. 1 by referring Respondents to Appendices A-1 through A-4 and Appendices B-1 through B-4 of the Expert Report of John D. McCown, dated September 17, 2024, and documents bates-stamped P-0000810432 and P-0000353819, produced to Respondents in this action.

We have already addressed spreadsheets P-0000810432 and P-0000353819 above, and also McCown's testimony as it pertained to the appendices to his report. BBY's circular reference adds nothing. As for Mr. Kastin's knowledge of the Appendices to McCown's Report, he testified he did not know the source of the data, did not know who compiled it, there are no booking denials or refusals to carry reflected in any of the columns of the spreadsheet, and he has no idea whether any of the shipments referenced in the spreadsheet correlate to when OOCL denied a BBY booking.¹⁰² Nevertheless, Mr. Kastin verified the discovery response above under oath.

BBY used a similar smoke and mirrors methodology to support its 2021 shipping year shortfall claim, citing CPFF106.¹⁰³ If BBY booked or attempted to book thousands of containers with OOCL that OOCL declined to carry during shipping years 2020 and 2021, where is the evidence of these declined or attempted bookings?¹⁰⁴ BBY's shortfall claim is completely unsupported by any reliable evidence.¹⁰⁵

What the foregoing demonstrates is that BBY performed no analysis of the amount of container space that OOCL actually provided to BBY or that BBY actually attempted to obtain

¹⁰² RPFF 563-75.

¹⁰³ See Complainant's Opening Brief at 14-15. BBY's proposed Finding of Fact 106 reads:

106. In the months of October 2021 through March 2022, OOCL provided just 52.9 percent of contracted space to BBY, if allocated monthly. See 1AC ¶ 46 [APP-49]; Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs "SY 21", "21 But For," and "21 Damages") [APP-3359]; see also Ex. 326 at 9, 10 [APP-33445-3346].

We have addressed each of these documents above.

¹⁰⁴ RPFF 567.

¹⁰⁵ RPFF 550-575.

from OOCL during shipping years 2020 and 2021.¹⁰⁶ Instead, Mr. McCown relied on *allegations* of container space shortfalls as described in BBY's Complaint as the entire basis for his opinion that OOCL did not provide the space contracted for under the 2020 and 2021 service contracts. Not only did Mr. McCown rely on allegations instead of facts, but he did not read the service contracts before opining about OOCL's compliance with same.¹⁰⁷ The ALJ nevertheless embraced BBY's unsubstantiated data uncritically, foregoing a hearing that would have subjected this evidentiary charade to the light of cross examination.

Mr. Kastin's specious verifications in support of both BBY's Amended Complaint and its Interrogatory responses are frankly contemptable and should be stricken because they attempt to stamp his imprimatur as a lawyer on suspect data. In truth, these purported shortfall numbers are no more than the difference between BBY's original (unamended) MQC in those two shipping years and the number of containers actually *carried* by OOCL. What those numbers fail to encompass, however, is the amount of container space that OOCL *made available* to BBY during the course of each shipping year, the number of containers that OOCL carried *in excess of* its space obligations, or the amount of space made available to BBY *that BBY did not utilize* (either because it did not book the space, because it did not cancel space that it had booked, or because it did not actually return the loaded container for the space that it had booked ("no-show")).¹⁰⁸ BBY also fails to identify any bookings that OOCL purportedly declined, or the number of no shows, bookings made in the wrong service loops, late bookings, bookings where there was no space allocation, etc. Considering those additional facts is imperative to determining compliance with

¹⁰⁶ Obviously, a carrier cannot be faulted for not carrying a cargo the shipper never tendered. If, for example, BBY only proffered 1,000 containers and OOCL carried only 1,000 carriers, there could be no fault to OOCL even if the MQC were more than 1,000.

¹⁰⁷ RPFF 566.

¹⁰⁸ RPFF 764.

service contract space commitments, as BBY's own Paul Pastor agreed that MQC imposes on the ocean carrier to provide space and on the shipper *to use that space*.¹⁰⁹

Though completely ignored by the ALJ, by contrast, OOCL carried out a detailed analysis of container space OOCL actually made available to BBY under the 2020 and 2021 Service Contracts using robust and verifiable data recorded contemporaneously and in the normal course of business. That analysis demonstrates the reasonableness of OOCL's space allocation and booking systems, specifically, OOCL's logic, methodology and calculation of OOCL's MQC fulfillment at 104% and 94% for shipping years 2020/21 and 2021/22, respectively, and BBY's MQC performance at 58.5% and 60% for those respective years.

OOCL's Trans-Pacific Trade Manager Karen Lam and her Team undertook a detailed analysis to evaluate the amount of space OOCL actually provided to BBY during the 2020 and 2021 shipping years by service lane.¹¹⁰ Not only did Ms. Lam testify about the work performed, but each member of her Team also executed a sworn declaration attesting to the work each performed in carrying out the analysis.¹¹¹

Ms. Lam directed Sharon Wong to work with OOCL's Information Services Department ("ISD") to evaluate OOCL's system for the management of space aboard its services (known as "CSAL") and BBY's booking and delivery of containers during service contract years 2020-21 and 2021-22.¹¹² OOCL's CSAL sets out the amount of space each contract shipper is allocated to receive after conferring with an OOCL sales representative about the shipper's needs on specific lanes and origin ports. Ms. Wong asked ISD's Mickey Wong, Alex Lam and Stanley Cheung to

¹⁰⁹ RPFF 51.

¹¹⁰ RPFF 576.

¹¹¹ RPFF 577-602, 680. Note that the volume shipped under the Premium Service Contracts was not included in OOCL's analysis of space afforded under the annual Service Contracts. See footnote 135.

¹¹² RPFF 579.

carry out that work.¹¹³

The Team examined OOCL's data maintained in the normal course of business, specifically CSAL, which ensures OOCL's service contract customers are allocated weekly space for each specific service lane (with allocations for such weeks provided monthly)¹¹⁴ and data reflecting shipments booked and carried.¹¹⁵ To generate the analysis, OOCL's ISD Team gathered all user files into a database and used them to generate "Spotfire" graphs about which we expound below.¹¹⁶ The shipment data was extracted directly from OOCL's "IRIS-4" database (OOCL's Enterprise Resource Planning Platform used by OOCL's business departments and which undergoes an annual external audit).¹¹⁷ The ISD Team cross-validated the data collected to confirm that the digital records matched the original records without discrepancies and cross-checked the digitalized CSAL in the database with the original CSAL: in the Excel file row by row, and conducted a duplicate detection search, missing value check, and summary and detail alignment to ensure accuracy of the data collected.¹¹⁸

The Team analyzed the data collected and developed the Spotfire graphs that ultimately were marked as Exhibits 66 and 67, verified the accuracy of the information therein, and provided data results to Ms. Wong.¹¹⁹ Those graphs provide a summary of the results the Team found when

¹¹³ RPFF 580.

¹¹⁴ RPFF 213, 426, 619-620.

¹¹⁵ RPFF 581. That practice accords with the Service Contract terms. As is industry standard, though parties typically negotiate annual MQCs, for practical reasons, space allocations are implemented and managed on a weekly basis.

¹¹⁶ RPFF 582.

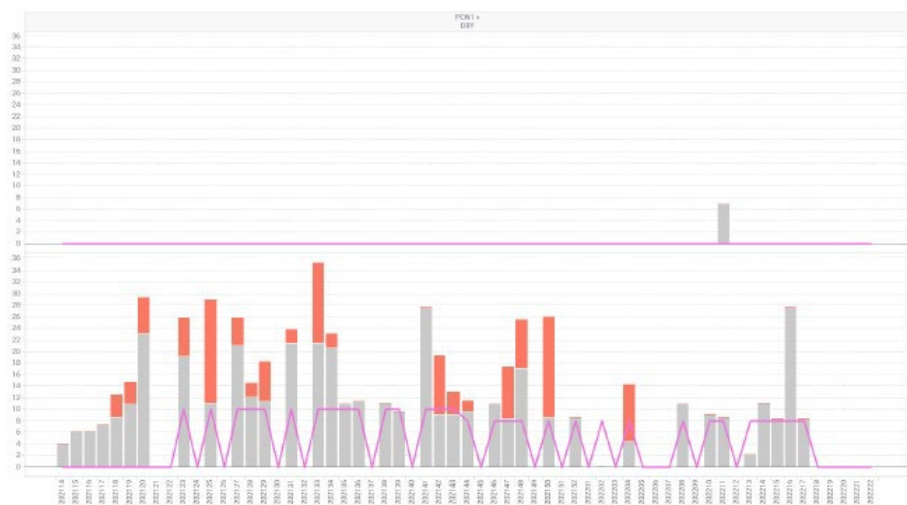
¹¹⁷ RPFF 583. "IRIS-4" is OOCL's Integrated Regional Information System used "for bookings, to capture bookings, to track bookings, to track operations-related items ... So, globally, any OOCL office has access to IRIS, and they can see where bookings are, what bookings are being completed, confirmed, deleted, pending; all that information." APP-1593 (Metzger Tr. 14:18-15:9). Indeed, McCown himself recognizes OOCL as an industry leader in customer service and space management systems. John C. McCown, *Giants of the Sea* at 1.

¹¹⁸ RPFF 585.

¹¹⁹ RPFF 586.

they examined the data.¹²⁰ Ms. Wong reviewed and evaluated BBY's booking and shipping data, BBY's CSAL and BBY's service contracts.¹²¹ She asked the Team to help draw and summarize the data. RPF 589. She also double-checked the data prepared by the Team and used the data to prepare the slides marked as Exhibit 39.¹²²

The Spotfire graphs show the container space allocations provided by OOCL to BBY for each service loop during the 2020 and 2021 service contract years, the amount of space used and unused by BBY,¹²³ and the amount of space that OOCL provided to BBY beyond its allocations.¹²⁴ An example follows for the PCN1 DRY Service Loop (meaning Northern and Eastern China to the United States for the carriage of dry cargo) for the 2021-2022 shipping year:



The lower pink line is the space allocation provided by OOCL to BBY for this service

¹²⁰ RPF 587.

¹²¹ RPF 588.

¹²² RPF 590.

¹²³ While the ALJ found that BBY would have used all of the space provided to it, at certain times and port pairs, BBY did not always require the space it had contracted for. APP 884 (Hackett Tr. 283:18-284:7) (“... if we didn’t take it, we didn’t need it. It’s not like we had volume all the time on every land every week. Sometimes it would work. Sometimes it wouldn’t. And I think you saw cases of that where you offer, what was it 500 F, and I think Yusen came back saying, you’ve only got enough cargo for half of that.”).

¹²⁴ APP 3122-44, 3145-66 (Exs. 66 and 67); RPF 591.

loop for a given week.¹²⁵ The gray bars represent the bookings made by BBY and confirmed and actually carried by OOCL, and the orange bars reflect BBY's bookings that were rejected/declined by OOCL.¹²⁶ These graphs only relate to space allocations under the 2020 and 2021 service contracts, not to any space separately negotiated for under the Premium Service Contracts.¹²⁷ OOCL analyzed the amount of space it allocated to BBY for each service loop, how much space was actually provided to BBY (consisting of OOCL's space allocation and over-allocation, that is, amounts above BBY's space allocation), how much space BBY did not use, and how many bookings were rejected by OOCL.¹²⁸ The Spotfire graphs visually depict all of this information.¹²⁹ The ISD Team also gathered the cumulative data for these two shipping years, which Ms. Wong converted into two slides.¹³⁰

Ms. Lam explained the bullet points in the two slides during her deposition.¹³¹ Instead of the normal 12 months, the 2020 service contract period was shortened to 10 months at BBY's request, thus ending on April 30, 2021, rather than June 30, 2021, as initially agreed.¹³² This shortened contract period accounts for the pro-rated references in the first slide (APP-3039). In calculating the amount of space provided, OOCL accounted for the space it allocated to BBY during each shipping year and the amount of space above its allocations that it provided to BBY minus the number of rejected TEUs below the CSAL weekly allocation (that is, rejected bookings that were within CSAL but not accepted for some reason; the contracts did not oblige OOCL to

¹²⁵ RPFF 59.

¹²⁶ RPFF 592.

¹²⁷ RPFF 593.

¹²⁸ RPFF 594.

¹²⁹ RPFF 594.

¹³⁰ RPFF 594.

¹³¹ RPFF 595.

¹³² Ms. Lam APP-3374 (Ex. 332, Amendment No. 0 to Service Contract PE203297); APP-3469 (Ex. 349, Amendment No. 17 to Service Contract PE203297); RPFF 596. Unlike the other amendments, the ID did not invalidate the amendment shortening the period of the 2020 contract.

accept bookings that exceeded BBY's MQC).¹³³ OOCL then compared that sum against the pro-rated MQC for the 2020 shipping year. This analysis indicates OOCL provided 104.4% of the space that it said it would provide to BBY in the 2020 service contract, that is, it provided more space to BBY than the minimum the contract required.¹³⁴ OOCL replicated the process for the 2021 shipping year and found that OOCL provided 94% of the space that it said it would provide to BBY in the 2021 service contract.¹³⁵

OOCL's analysis extended to evaluating the extent to which BBY fulfilled its contractual obligations to use the space provided by OOCL, which was calculated by confirmed bookings minus cancelled, terminated, no-shows and the space OOCL had set aside for BBY that BBY *did not use*.¹³⁶ OOCL then compared that total against BBY's annual, unadjusted (pre-drawdown) contractual MQC obligation for each shipping year and found that for the 2020 service contract, BBY only fulfilled 58.5% of its obligation to use the space provided to it by OOCL and 60% for the 2021 service contract.¹³⁷ In sum, OOCL made the requisite space available but BBY did not tender the requisite amount of cargo to use that space.

OOCL did not stop there. To address the allegations that OOCL failed to afford BBY adequate space in August 2021, OOCL's Director of Marketing and Sales in Salt Lake City, Glenn Metzger, dug deeper into all of the actual bookings made by BBY that were cancelled (by BBY), and those declined (by OOCL) during 2021/22 shipping year.¹³⁸ Mr. Metzger possesses the requisite IT and OOCL corporate database experience to undertake this analysis.¹³⁹ He also

¹³³ RPFF 597.

¹³⁴ RPFF 599.

¹³⁵ RPFF 600. OOCL's calculation of space did not include any additional space provided under the premium contracts. RPFF 593, 594 RPFF 593; APP 1395 (K. Lam Tr. 228:15-22).

¹³⁶ RPFF 601.

¹³⁷ RPFF 602.

¹³⁸ RPFF 603

¹³⁹ RPFF 606.

authenticated all of the data he relied upon, save for one spreadsheet (Ex. 390), which was separately authenticated by OOCL's Inside Sales Analyst Peter Nash.¹⁴⁰

Mr. Metzger had concerns in August 2021 about both the performance of OOCL's North American Group ("NAG") and of its BCO contract shippers.¹⁴¹ In preparing a slide show in August 2021 to address his concerns, he examined overall MQC numbers for all of OOCL's NAG contract shippers, but he did not evaluate the actual bookings made by the shippers referenced in the slide show.¹⁴² Mr. Metzger, as a non-retained expert, evaluated two issues, the second of which is germane to space allocation in the 2021-22 shipping year – he evaluated BBY's overall booking behavior in relation to the weekly allocation provided by OOCL via CSAL.¹⁴³

He reviewed the booking activity *for each vessel* during the 2021-22 shipping year against which BBY had any activity (i.e., confirmed, cancelled, and declined bookings, no-shows, and all related activity).¹⁴⁴ If the vessel had any activity involving BBY, he extracted data regarding those vessels from the system and then examined how that booking activity related to the space that had been reserved for BBY.¹⁴⁵ He explained in detail his methodology and findings during his deposition and was examined by BBY about his findings.¹⁴⁶ Based upon his review of the data, Mr. Metzger opined that "OOCL met and exceeded its commitments, or its allocation."¹⁴⁷

Two independent and unrefuted analyses undertaken by OOCL—one by Karen Lam and her Team and the other by Glenn Metzger—confirm that OOCL fully met its obligations under the

¹⁴⁰ RPFF 607; RX 663-64 (Nash Declaration, referencing two spreadsheets, the second of which was provided to OOCL's container liability expert Lars Jensen for review).

¹⁴¹ RPFF 608.

¹⁴² RPFF 609.

¹⁴³ RPFF 610.

¹⁴⁴ RPFF 611.

¹⁴⁵ RPFF 612.

¹⁴⁶ RPFF 613.

¹⁴⁷ RPFF 614.

service contracts to provide space to BBY in both the 2020 and 2021 shipping years and to accept BBY's contracted bookings. Neither BBY nor its expert, on the other hand, performed any such analysis, and its evidence package is a sham, as demonstrated above. BBY failed to carry its burden of proof on the central theory of its claim, which in turn underlies the vast majority of its reparations claims as well as its incremental expenses claim (espoused by Mr. McCown based on the Amended Complaint's alleged shortfall numbers—which is not evidence—multiplied by the purported cost of transporting the NVO-carried containers identified in Appendices A-1 and B-1—about which he has no knowledge—for a total of \$22,709,971.80).¹⁴⁸

BBY produced no reliable evidence to support its claims;¹⁴⁹ it has produced only allegations and unverified spreadsheets with no proof of causation. In contrast, OOCL has produced detailed facts and data verified by knowledgeable people that clearly show its performance not only met but had exceeded the commitments it made in the 2020 service contract and substantially complied with the 2021 service contract.¹⁵⁰

B. OOCL did not unreasonably rely on CSAL.

The ALJ found that: “The evidence shows that OOCL’s space allocation system was unreasonable and that OOCL did not make a good faith effort to make space available to BBY.”¹⁵¹ But nowhere does the ID explain the criteria to describe or the basis on which she found an “unreasonable booking system” or an “unreasonable space allocation system.” While OOCL does not argue that CSAL, as any system, is infallible, carriers do not spend multi-millions of dollars to obtain, maintain, and use sophisticated systems that do not work. The evidence cited by the ALJ does not support the wholesale conclusions that OOCL’s space allocation and booking systems

¹⁴⁸ APP-3791, 3809, 3844 (McCown Report ¶¶ 175 and 176, Appendices A-4 and B-4).

¹⁴⁹ RPFF 698-787; 550 to 575.

¹⁵⁰ RPFF 576-618.

¹⁵¹ ID at p. 126.

were “unreasonable.” The ID cites only to anecdotal evidence discussing or criticizing OOCL’s CSAL’s shortcomings generally, but which does not refer in any way to BBY.¹⁵² And where she cites to evidence relating to BBY whatsoever, such evidence (1) is limited to anecdotal occasions in August 2020 (ID at ¶ 104) and September 2021 (ID at 27, 30, 36, 107, 134); ¹⁵³ (2) is unsupported by any data (ID at ¶ 94); (3) is correlative without proof of causation;¹⁵⁴ or (4) leads to an illogical conclusion.

With respect to the illogical conclusions reached in the ID, the ALJ found that OOCL’s space allocation system was unreasonable based solely on what one of OOCL’s sales representatives said in an email: that the space was “use it or lose it.” ID at p. 39, 132. Aside from OOCL’s unrefuted data showing that OOCL provided space over and above its allocation to BBY

¹⁵² ID ¶ 75-89, 95, 97-103, 105, 114-119, 120-129, 131.

¹⁵³ The ALJ criticized OOCL for not aligning its forecasted space with BBY’s rolling forecasts, but during the two shipping years at issue, BBY contracted with Yusen Logistics to serve as booking agent, and Yusen was obligated to book per the monthly ocean carrier allocations provided by BBY, **not** as pursuant to BBY’s rolling forecasts. RX-000079-153 (Ex. 274, Yusen Logistics-BBY Contract, pp. 26-27); APP 954; 958; APP 2396-98 (Shippee Tr. 25:1-28:20; 30:1-9); RPFF 62. Further, record evidence exists that BBY’s forecasts were frequently and belatedly changed. RPFF 351 (On August 24, 2020, BBY provided OOCL a revised rolling forecast for October but advised that BBY may have more changes because its buying group may add more orders when BBY sends the next forecast for October on September 15. RX-000827 (P-0000035584)).

¹⁵⁴ ID at ¶ 72 (In 2020, BBY said it was “dying for space” – no data) (APP 3014); ID at ¶ 90 (based on an August 12, 2020, OOCL email, ALJ found that OOCL did not sufficiently make clear the importance of not exceeding the CSAL allocation – no data as to how many containers were not booked, if any); ID at ¶ 91 (based on November 16, 2020, email where OOCL advised BBY to book up to its allocation, ALJ found that OOCL did not describe the consequences of attempting to book above the CSAL – no data as to how many containers were not booked, if any); ID at ¶ 93 (based on an August 2021 email where OOCL advised BBY to make bookings “in line with allocations”, ALJ found that OOCL “yet again fail[ed] to make explicit that the entire booking would be rejected if it exceeded CSAL.” – no data as to how many containers were not booked, if any); ID at ¶ 96 (ALJ found that “OOCL also did not consistently provide explanations to BBY when bookings were canceled; and sometimes pended bookings – i.e., neither accepting nor rejecting, but rather putting the booking into a limbo status” – no data as to how many containers were not booked, if any; further, the ALJ does not understand industry nomenclature and assumed OOCL cancelled bookings; to the contrary, OOCL declines bookings, the shipper cancels them).

on numerous occasions,¹⁵⁵ a simple hypothetical demonstrates the fallacy that “use it or lose it” is unreasonable. If a shipper books no cargo all year and then demands all of its annual MQC in the last week, the ALJ’s logic would dictate that the carrier had an “unreasonable practice” if it cannot provide all of that space in a single week, which makes no practical sense. The same illogic applies if a carrier is required to provide the space it allocated as agreed to a shipper but which the shipper did not use for one week but then demands double the following week. Nevertheless, the data reveals, had the ALJ bothered to review it, that OOCL repeatedly and with great frequency provided more space to BBY than it was allocated by week on numerous occasions. *Id.* But ocean carriers live in the real world, and their ships operate on fixed schedules; they must sail whether empty or full. To reasonably manage the vast complexity of their multiple services to all their customers, they must build and rely on systems such as CSAL to manage their weekly allocations, inflexible schedules, and the varying conditions that affect each ship’s actual available capacity to take on cargo at any given port -- as imperfect as those systems may be. To do so cannot be regarded as “unreasonable”; to the contrary, using an allocation system to ensure that it is utilizing its space and taking bookings in a rational fashion is precisely what the Commission’s precedent, to reasonably pro-rate available space, requires.

Rather than address why bookings were declined by OOCL (because they were booked on

¹⁵⁵ See, for example, the Spotfire graph on page 38 above and APP 3122-44, 3145-66 (Exs. 66 and 67); RPFF 591, 594.

the wrong service loop,¹⁵⁶ or there was no space allocated,¹⁵⁷ or they were booked late,¹⁵⁸ or they exceeded BBY's space allocation) or were cancelled by BBY or why there were BBY "no-shows" at the loadport, the ALJ simply assumed that OOCL failed to meet its MQC obligations as opposed to BBY failing to meet its MQC fulfillment obligations. Record evidence exists that BBY's third-party logistics provider regularly "double-booked" containers,¹⁵⁹ but this evidence was completely ignored and no reference to it can be found in the ID.

The ALJ blamed OOCL for failing to make it adequately clear to the experienced shipping and logistics professionals of BBY and Yusen the importance of not exceeding weekly allocation, but that is directly contrary to established fact. In July 2021, for example, OOCL specifically advised BBY to book only the amount of space it had been allocated: "Do not book above the allocation. If the allocation is 6 TEUs, do not book 8 TEUs. We will not release the 6 TEUs against a booking made for 8 TEUs." ID at ¶ 92. That seems clear enough. How many times does OOCL have to advise BBY how to make bookings? BBY was a large, sophisticated company highly experienced in obtaining ocean carriage from a variety of carriers and it used a highly sophisticated

¹⁵⁶ RPFF 298 (Mr. Hackett did not know whether BBY verified that in each case where a booking was declined, that it was the correct service loop. APP 861 (Hackett Tr. 190:21-191:2)).

¹⁵⁷ RPFF 300 (Mr. Hackett did not know for every booking request that was declined whether BBY or Yusen verified that the booking was made in accordance with the cargo allocation provided by OOCL. APP 862 (Hackett Tr. 194:9-18)); RPFF 338 (On July 10, 2020, BBY (and Yusen) asked OOCL for additional allocation of 4-5 FEUs over allocation. OOCL explained that BBY had no booking history from the requested port and that BBY had not forecasted any needs for such, thus was not allocated space on that port call. RX-000818 (P-0000019960)).

¹⁵⁸ RPFF 299 (Mr. Hackett did not know whether BBY or Yusen verified that for every booking declination that the booking was timely made in accordance with guidance that OOCL provided. APP 861 (Hackett Tr. 192:12-20)).

¹⁵⁹ BBY's third-party logistics provider Yusen regularly double-booked BBY's containers during the pandemic. APP-1554 (McQuade Tr. 43:12-44:9) (McQuade wrote an email to BBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space."); APP-2396 (Shippee Tr. 22:1-18) (with respect to double booking, Yusen's Rita Shippee testified, among other things: "Because it was Bed Bath & Beyond's practice to book with more than one carrier. . . ."); RPFF 623.

agent (Yusen) as its booking agent. OOCL and BBY had worked together for more than a decade; BBY and its agent Yusen knew what to do but simply failed to comply.¹⁶⁰ In any event, OOCL repeatedly instructed BBY to book up to its allocation; if not booked to its allocation, the booking was not made in accordance with OOCL's booking procedures.

Accepting the ALJ's ruling in this respect would lead necessarily to the conclusion, contrary to FMC precedent, that a carrier is obliged to carry more cargo than that for which it contracted. Moreover, accepting this logic directly contradicts FMC precedent that a common carrier's only obligation, when insufficient space exists for whatever reason to carry cargo for all shippers who demand space, is to fairly *pro rate* the available space among its customers.¹⁶¹

The ALJ's conclusion that relying on CSAL and its booking systems was an unreasonable practice is also inconsistent with the fact that OOCL successfully carried literally millions of containers between Asia and the United States for thousands of shippers during the course of a global pandemic and the shipping years at issue.¹⁶² OOCL's operations reflect and support a practice that accords with the Service Contracts' terms. One of the major global container shipping lines would not continue to use unreasonable space allocation and booking systems if they did not work. What is unreasonable is the ALJ's wholesale dispensing with OOCL's space allocation and booking systems based primarily upon a few anecdotal, internal complaints that do not rise to causation, and without examining OOCL's unrefuted data. The ALJ's findings of

¹⁶⁰ RPFF 624 (Yusen did not book per the ocean carriers' allocations provided by BBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 ("I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.")); APP 1554 (McQuade Tr. 43:12-44-9).

¹⁶¹ See footnote 64.

¹⁶² See Annual Report, Orient Overseas (International) Ltd. (2020) at 17 [APP-4440] (Trans Pacific container liftings in 2020 were 2,166,000 TEUs); Annual Report, Orient Overseas (International) Ltd. (2021) at 14 [APP-4640] (Trans Pacific container liftings in 2021 were 2,073,000 TEUs); Annual Report, Orient Overseas (International) Ltd. (2022) at 16 [APP-4845] ((Trans Pacific container liftings in 2022 were 1,773,000 TEUs).

“unreasonableness” of these systems were knit together from email snippets of OOCL’s own employees noting the shortcomings of a system that was being strained by the unprecedentedly severe market conditions and pushing (often successfully) for the ongoing improvement of OOCL’s market-leading system. The message of this decision, should it be allowed to stand, would be that employees should never point out the shortcomings of a carrier’s system, never push for improvements in a time of crisis, and never counsel their customers on how to best cooperate to achieve mutually-desired results, lest the regulators seize on that communication to declare the carrier’s entire operations “unreasonable” and thereby unlawful.

The ID wholly failed to address strategies used by BBY that negatively affected other shippers and the system (double booking), its failures to provide adequate or timely forecasts, or its booking shortcomings. Nor did the ID acknowledge that no casual connection existed between the containers BBY asserted it shipped with other carriers or NVOCCs and OOCL’s performance. By painting with a broad brush and finding OOCL’s systems unreasonable, the ID conveniently ignored OOCL’s actual record data and witness testimony. The ID’s findings were arbitrary and capricious, and are gravely unfair, unjust and prejudicial to OOCL’s reputation.

VII. The ID errs in finding that OOCL violated 46 U.S.C. § 41104(a)(2), Count III, relating to alleged service not in accordance with service contracts.

A. ALJ Unconstitutionally Disavowed Service Contracts Amendments, Premium Rate Contracts and Amendments thereto.

See Section II above which is incorporated herein by reference and addresses the ALJ’s violation of the non-delegation and major-questions doctrines as they pertain to her findings that the Service Contracts Amendments, Premium Rate Contracts and Amendments thereto (43 contracts in all) were not voluntarily signed by BBY.

B. Premium service contracts provided space in excess of the MQC in the Annual Service Contracts.

OOCL and BBY agreed to a premium service contract in January 2021, which ran until the end of the 2020/2021 shipping year, with one extension through May 31, 2021, and then a second from May 21, 2021, through September 10, 2022, during the 2021/2022 shipping year. OOCL's Director of Transpacific Trade Karen Lam testified that space provided under the premium service contracts was not included in the MQC for annual service contracts for shipping years 2020/2021 and 2021/2022.¹⁶³ In other words, it was additional space. The premium service contracts were developed by OOCL in response to market demand for additional space and were meant to offer BCOs who wanted space in addition to their existing service contract MQCs at rates lower than rates offered at the time by NVOs on the "spot market."¹⁶⁴

BBY was well aware that these premium contracts were separate from the traditional annual service contract.¹⁶⁵ When the premium contract first came about, in an email dated January 21, 2021, BBY's Paul Pastor wrote the following to Yusen's Pacy Chow:

**Pacy, follow up to OOCL premium rate contract we signed this week.
OOCL has put aside a separate allocation for BBB under this contract
for weeks note below.**

It is important we take advantage of this space.

[OOCL's Jim Mitchell] reached out to me today and noticed we have not used all the space for week 5 on the EXC services into the USEC. Please any orders that are not yet conformed for these lanes and that cargo is available, please try to use this space.¹⁶⁶

Premium contract rates for additional space offered by OOCL to its "customers were much lower than the rate offered by NVO to other customers."¹⁶⁷ Employing a detailed methodology, Glenn Metzger analyzed whether OOCL shifted any space from service contracts to premium rate

¹⁶³ RPFF 593; see also ID, p. 53, ¶ 155.

¹⁶⁴ RPFF 273 (APP 1380 (K. Lam Tr. 165:10-167:20)).

¹⁶⁵ APP 822 (Hackett Tr. 37:4-18).

¹⁶⁶ RPFF 275; RX-001235-37 (Ex. 292, P-0000179277) (Emphasis added).

¹⁶⁷ RPFF 166.

contracts.¹⁶⁸ Metzger evaluated the period May 1 to September 30, 2021, and testified he did not “see any reason to believe that OOCL was shifting space from any - - one contract to another.”¹⁶⁹ The ID made an arbitrary and capricious finding to the contrary based on no data to support it introduced by BBY.

VIII. The ID errs in finding that OOCL violated 46 U.S.C. § 41104(a)(3), Count IV, relating to alleged retaliation.

Until June 16, 2022, the Shipping Act prohibited common carriers from “retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. App. § 1709(d)(1), Pub. L. 98–237, §10(d)(1), Mar. 20, 1984, 98 Stat. 77; Pub. L. 105–258, title I, §109(c)(2), Oct. 14, 1998, 112 Stat. 1909 (codified as 46 U.S.C. 41104(a)(3)).¹⁷⁰

A. BBY Did Not Engage in any Protected Activity.

To show a violation of this provision, BBY must prove two essential elements. First, the shipper must have engaged in a specific type of protected activity. Second, the carrier must have engaged in an actual act of retaliation as a result of the protected activity. *OJ Commerce, LLC v. Hamburg Sud*, 2024 WL 4034610 (FMC 2024). Neither of those requirements are present here.

¹⁶⁸ RPFF 616 ((APP 1596-1618) (Metzger Tr. 29:7-115:21)).

¹⁶⁹ RPFF 617 (APP 1618 (Metzger Tr. 115:22-116:9); RX-000612 (Ex. 387, OOCL254177); see also APP 1084-85 (Jensen Tr. 352:22-355:13)).

¹⁷⁰ 46 U.S.C. § 41102(d)(2024)(effective June 16, 2022) does not apply retroactively to any acts or omissions that occurred before its enactment, which includes OOCL’s alleged conduct in the spring of 2022. Prior to OSRA22, the applicable statutory section prohibited common carriers from “retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. App. § 1709(d)(1), Pub. L. 98–237, §10(d)(1), Mar. 20, 1984, 98 Stat. 77; Pub. L. 105–258, title I, §109(c)(2), Oct. 14, 1998, 112 Stat. 1909.

We start with the lack of protected activity. As quoted above, the statute applies only to retaliation “because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” There is no allegation here that BBY brought a complaint against OOCL at the FMC before the challenged conduct or that OOCL’s conduct was in response to BBY having patronized another ocean carrier. Accordingly, BBY’s claim is necessarily limited to the proposition that OOCL retaliated against it for “any other reason.”

The Commission has, both before and after OSRA22, applied a narrow interpretation of the phrase “any other reason,” limiting it to antecedent acts that closely resemble those specifically set out by Congress. In *Statement of the Commission on Retaliation* Docket No. 21-15, (FMC, December 28, 2021),¹⁷¹ an informal, non-binding statement of guidance regarding retaliation, the Commission recognized that the term “any other reason” must be interpreted in clear accord with the actions specifically denominated by Congress:

“Under the *ejusdem generis* canon of statutory construction, general words following a list of particular classes of things are construed as applying ***only to things of the same class as those listed***. *Cal. Shipping Line*, 1990 FMC LEXIS 25 at *40 n.19.”¹⁷²

Accordingly, the Commission explained: a claim of retaliation must be based on proof that the carrier acted “because the protected entity engaged in protected activity (patronizing other carriers, filing a complaint, or other activities ***of the same class***).” The Statement likewise says:

The Commission interprets “any other reason” to mean that protected activity under § 41104(a)(3) includes other ways that shippers may bring allegations of unlawful activity to the Commission, such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS’ dispute resolution procedures.¹⁷³

¹⁷¹ Available at https://www2.fmc.gov/ReadingRoom/docs/21-15/21-15_Policy_Retaliation.pdf/ (“Statement”).

¹⁷² *Id.* (Emphasis added) (Statement at 7 n.36).

¹⁷³ *Id.* Statement at 7.

And it further states:

The Commission also acknowledges that § 41104(a)(3) should not be read so expansively that it renders other prohibitions in Chapter 411 of Title 46 superfluous. . . . The latter does not swallow the other prohibitions, however, because it is not a flat prohibition on all unfair or unjustly discriminatory conduct. A complainant ***must show*** that a carrier engaged in prohibited conduct (refusing cargo space accommodations or other unfair or unjustly discriminatory methods), with respect to a protected entity (shipper), ***because*** the protected entity engaged in protected activity (patronizing other carriers, filing a complaint, ***or other activities of the same class***).¹⁷⁴

In *OJ Commerce*, the FMC held that a formal letter explicitly threatening to file a complaint was sufficiently related to actually filing a complaint to be considered within the same class.¹⁷⁵ Whether the federal courts of appeals will accept even that expansion of the class of protected activities is not at issue here, because there was no such express threat. Rather, there was simply a letter that ***the author explicitly did not intend as a threat***.¹⁷⁶

Importantly, in *OJ Commerce*, the FMC specifically distinguished the situation before it - two formal letters (including one from the complainant's law firm) expressly stating an intent to file a complaint from less formal actions raised by the respondent therein. The FMC said:

The ALJ's decision does not vastly expand the types of retaliation claims the Commission will consider, it only clarified that the category includes formal notices of an intention to file a case with the Commission, like OJC's notice. Most carriers and shippers want to maintain a business relationship, so notices of an intention to file a case with the Commission will be rare . . . Further, the Commission affirms the ALJ's decision was appropriate for the facts of this case, which included two formal notices of an intention to pursue legal action. **Offhand bluster or idle threats are of a different class.**¹⁷⁷

BBBY's retaliation claim is legally deficient in part because it is not predicated upon any protected act taken by BBBY. BBBY sent two letters to OOCL: one on October 18, 2021,

¹⁷⁴ *Id.*, Statement at 9.

¹⁷⁵ 2024 WL 4034610, at *17.

¹⁷⁶ RPFF 670.

¹⁷⁷ *OJ Commerce*, 2024 WL 4034610, at *18 (emphasis added).

complaining about demurrage and detention charges; and a second on February 9, 2022, renewing the foregoing complaint and adding one relating to OOCL's alleged failure to meet its MQC obligations. BBY's Director International Supply Chain Patrick Hackett, the author of those letters, testified he did not intend to make a threat of filing a claim to the FMC when he sent his October 18, 2021, letter, and his February 9, 2022, letter included *no reference to the FMC*.¹⁷⁸ Because there was no protected act threatening FMC action, there can be no claim of retaliation.

The ALJ did not identify any formal or even intended threat in those letters. Instead, she intuited without evidence that it contained an "implicit threat."¹⁷⁹ This is of course diametrically opposed to Mr. Hackett's stated intent, and relies on mind reading, not evidence, as to how the letter could have been perceived by OOCL employees. Further, it would seem passing strange to determine whether a particular letter was "protected activity" by reference to what *the recipient* might have thought, as opposed to what the author intended. In essence, the ALJ elevated any informal complaint by any shipper to the status of a formal threat to file a complaint. Such contortion is not only unworkable but also fails to comport with the limits on protected activity in *OJ Commerce*. Rather, BBY's posturing falls within the penumbra of "*offhand bluster or idle threats*" that the FMC has said were not protected activity.¹⁸⁰

In *OJ Commerce*, the FMC recognized that treating formal complaints as protected activities would not implicate many instances, because "notices of an intention to file a case with the Commission will be rare."¹⁸¹ By contrast, sending letters of informal complaint is far from rare

¹⁷⁸ RPF 670-674.

¹⁷⁹ Moreover, whether OOCL perceived it as a threat and took it seriously, does not make it so. Moreover, as a policy matter, should not the Commission prefer carriers to take reasonable steps to address their customers concerns and not ignore them, whether or not they are perceived as threats?

¹⁸⁰ *Id.*

¹⁸¹ *Id.* at *17.

and Hackett testified that he “sent this exact letter out to every carrier that we were doing business with[.]”¹⁸² It is unreasonable to characterize a shipper’s generic customer complaints sent to every carrier, without referring to filing complaints with the FMC, as protected conduct.

Two other ALJs have recently construed *OJ Commerce* narrowly. ALJ Chintella dismissed a retaliation claim where the shipper made complaints to the carrier but never expressed a clear intention to file a complaint.¹⁸³ Likewise, in a similar proceeding brought by BBY against another carrier, ALJ Crovella found that a complaint letter without an express threat of an FMC complaint insufficient to serve as protected activity.¹⁸⁴

Because the author of BBY’s letters testified under oath he did not intend to make a threat of FMC complaint and that they were sent to every carrier,¹⁸⁵ BBY did not engage in an activity protected under the Shipping Act.

B. ALJ’s Findings of Retaliation by OOCL are Not Supported by the Factual Record.

In terms of retaliatory acts, the ALJ found that OOCL (i) imposed a 17% reduction in MQC upon BBY for the 2022 service contract year, (ii) offered higher rates to BBY than OOCL offered to other similarly situated shippers during the 2022 service contract negotiating period, and (iii) declined to agree to an amendment reducing the service contract rates in the Fall of 2022.¹⁸⁶ These findings are not borne out by the evidence.¹⁸⁷

C. OOCL Reduced MQC to all BCOs by 17%, not just to BBY.

¹⁸² RPFF 673. (Emphasis added).

¹⁸³ See *Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, 2024 WL 4893409, at *10.

¹⁸⁴ *20230930-DK-Butterfly-1, Inc. (f/k/a Bed Bath & Beyond) v. MSC Mediterranean Shipping Co. SA*, Docket No. 23-12, 2024 WL 1299768, at *6-7.(Order Partially Granting Motion to Dismiss) (ALJ March 25, 2024).

¹⁸⁵ RPFF 673.

¹⁸⁶ ID at p. 86, 170-179.

¹⁸⁷ RPFF 677-686, 689.

Again, BBBY bears the burden of proving all its claims by a preponderance of the evidence. BBBY did not prove any retaliatory act by OOCL. To manufacture such an act, the ID relies principally on the fact that, in the Spring of 2022, OOCL offered BBBY 17% less space than it had agreed to provide BBBY in the prior year. The ID completely ignores the evidence that shows OOCL equally applied a 17% reduction in MQC to **all** BCOs at that time.¹⁸⁸

As Marvic Chen testified, OOCL saw that there was great uncertainty regarding capacity availability in 2022, and took a conservative approach, reducing the amount of space it would offer to **every** BCO via annual service contract by 17%.¹⁸⁹ An action that OOCL took across the board with all of its BCOs cannot constitute retaliation against BBBY in particular in response to a (perceived) earlier general complaint by BBBY.

The ALJ relied for her contrary view on an anecdotal email¹⁹⁰ from Donna Forminio, who during the pandemic was OOCL's Eastern Business Region Business Analyst, in which she replied to OOCL's BBBY sales account executive Thomas Schmiemann, who wrote: "The MQC reduction of 17% is across all contracts."¹⁹¹ Ms. Forminio replied: "**Oh yes that's true** but I think his comment to reduce every customer volume by 17% was not right just was using it as justification to reduce BBB. But I see you got through to him so that's great." (Emphasis added). At

¹⁸⁸ RPFF 685.

¹⁸⁹ RPFF 685.

¹⁹⁰ The ALJ also relied upon an anecdotal email from another OOCL sales representative and found that "raising such concerns [about alleged demurrage and detention violations, which the ALJ found did not occur] should not lead to cutting bookings or jumping an entity to the "head of the class for deselection." ID at 168. Yet, no evidence exists that BBBY was actually prioritized for deselection or a reduction in MQC. Quite to the contrary, record evidence exists that OOCL did not "deselect" BBBY. See APP 2239; 2239 (Thomas Schmeimann Tr. at 254:5-20; 255:2-7; 13-21); APP 385 (Vincent Delprete Tr. at 180:11-24). Further, no data in evidence shows OOCL took any measures to cut BBBY's bookings. Again, quite to the contrary, the only booking data presented in this case demonstrates that OOCL acted reasonably during the extraordinary events presented by the pandemic in an attempt to serve all its customers. See RPFF 213, 579-583, 585-597, 599-602, 620; APP 1593 (Metzger Tr. 14:18-15:9).

¹⁹¹ APP-3077 (Ex. 52, Feb 23, 2022, email).

deposition, Ms. Forminio testified that this statement was her opinion; she understood the overall reduction needed to be achieved, but thought the sales office be involved:

My opinion was we'll reduce by 17%, but let us decide who we're reducing. Okay? . . . So it was one of our first contract negotiations, I think, after we got this idea that everything was going to be reduced by 17 percent. So it wasn't sitting with a lot of people. . . . So my opinion was, okay, **we've got to reduce the whole region by 17%**. Let's do that. But we should be able to increase somebody and take somebody else down maybe that doesn't have much value. So that was my opinion. Whether it was right or wrong, I don't know. **Just my opinion.**"¹⁹²

When understood in context, Ms. Forminio expressed an opinion, not fact, and even in her testimony she recognized, although she may have preferred to have had a choice of which customer to apply the reduction to, that the 17% reduction was going to apply to all BCOs across the board.

(i) The Shipping Act allows OOCL to offer different rates to BBBY than it did to other shippers in 2022.

OSRA 1998 amendments specifically authorized ocean carriers to treat different customers differently, no matter how "similarly situated."¹⁹³ The Senate Report accompanying OSRA 1998, explained that legislation "substantially increase[d] the discretion given to common carriers to provide different service contract terms to similarly situated shippers."¹⁹⁴ As OSRA 1998 intended, it is not uncommon for carriers to charge different rates to different shippers.¹⁹⁵ Consequently, a carrier is not required to charge any particular customer any particular rate or to agree to reduce

¹⁹² RFPFF 686. (Emphasis added).

¹⁹³ See THE IMPACT OF THE OCEAN SHIPPING REFORM ACT OF 1998, p. 16 (FMC Sep. 2001)(The FMC noted that "the me-too requirements for similarly situated shippers was eliminated."); [OSRA Study.pdf](#).

¹⁹⁴ S. REP. NO. 105-61, at 28 (1997). OOCL Trade employees testified that they did not engage in retaliatory pricing. RPF 677, 682.

¹⁹⁵ See *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 2014 WL 5316345, at *22 ("[T]he Act does not prohibit common carriers from charging different rates to similarly situated shippers for transportation service pursuant to service contracts. Using the words of section 41104(3), when entering into service contracts, as a matter of law it is not unfair or unjustly discriminatory in violation of section 41104(3) for a common carrier to charge different shippers different rates for the same transportation services.").

rates to one customer when it has reduced rates for another. As Mr. Chen noted, “we negotiate the rate with Bed Bath & Beyond, but we don’t necessarily compare the price we offer to other BCO customers. Each customer -- each BCO customer may have something unique.”¹⁹⁶ OOCL’s General Manager of Trans-Pacific Trade Karen Lam said it best when she swore under oath:

I. In my role as General Manager, I am familiar with how service contract rates are negotiated between OOCL and shippers. These negotiations include many variables and there is no easy way to compare a rate negotiated by one beneficial cargo owner to another.

II. Factors involved in establishing rates include, at a minimum: whether the rate is inclusive or exclusive of surcharges; whether the rate is based on a customized bunker formula or OOCL’s standard bunker formula; what products are being carried; the shipper’s credit request; the requested port pairs; what freetime is requested and negotiated with the shipper and the consequent cost exposure arising from same; how much time remains to conclude contract negotiations; among other considerations.

III. The timing in which a contract is negotiated and executed also has a significant impact on final rates. A negotiation that concluded in January would not have the same terms and [sic] one concluded in March or April because forecasts. [sic] Market conditions, and expectations change on a weekly or even daily basis.

IV. Each service contract is negotiated between the shipper and OOCL. Given the different negotiations of each contract and the vastly different context surrounding each negotiation, no contract rates should be compared “apples to apples” to another service contract. Any statement that one shipper should receive different rates to align with another shipper would be an oversimplification of the service contract negotiating process. Any statement equating one service contract to another misstates the reality in which each contract is negotiated and executed.

V. As such, in my view, the statement in Mike Young’s email of March 17, 2022 regarding the contract rate offered to Bed Bath and Beyond in 2022 should be considered in context, that is, as an OOCL sale representative’s pitch to OOCL’s Trade Group to offer lower rates to a customer. Trade and sales personnel often confer regarding rates offered to shippers, with sales representatives trying to get the lowest rates for their customers and trade representatives taking a more wholistic [sic] approach.¹⁹⁷

Further, at the time of these negotiations, BBBY presented a serious and well-recognized credit risk, and reasonable business grounds existed to limit OOCL’s financial exposure to BBBY.

¹⁹⁶ RPFF 679.

¹⁹⁷ RPFF 680. See also RPFF 468.

OOCL's Financial Control Team issued a warning on April 11, 2022, that BBY's failure (bankruptcy) score and delinquency score were high risk; at the time, BBY owed OOCL the substantial sum of \$1,846,582.¹⁹⁸

(ii) OOCL Reasonably Declined to Offer Lower Rates to BBY in the Fall of 2022.

In *Global Link Logistics, Inc.*, another ALJ held that a carrier need not renegotiate contract rates when the market falls.¹⁹⁹ In the Fall of 2022, sound business reasons existed for OOCL not to further reduce its previously negotiated rates with BBY. In August 2022, OOCL's Financial Control again warned that BBY represented a grave solvency risk, and (in hindsight wisely) restricted business with the company to cash, no credit.²⁰⁰ Though it reduced freight rates to BBY in October 2022,²⁰¹ OOCL decided not to reduce BBY's rates further; OOCL simply, and reasonably, was not interested in the increased exposure to the risk of BBY's financial instability.²⁰² BBY experienced significant financial instability and took major risks to access financing in the second half of 2022 (e.g., BBY's plan to offer and sell an additional 21 million shares of common stock, and BBY's securing a \$500 million facility financing, all announced in August 2022).²⁰³ These risks did not pay off; BBY's 2022 holiday sales fell nearly 50%, and by

¹⁹⁸ RPFF 474.

¹⁹⁹ 2014 WL 5316345, at *1 (FMC 2014) ("The Act does not require a common carrier to renegotiate terms of an existing service contract when a shipper becomes dissatisfied with its terms. Therefore, I conclude that Hapag-Lloyd's refusal to renegotiate existing contract rates during the life of the contract when market rates declined is not a refusal to deal or negotiate within the meaning of section 41104(a)(10).").

²⁰⁰ RPFF 689. APP-3322 (Ex. 192). OOCL's Financial Control Team had BBY "red-flagged" in June 2022 due to having over \$2 million past due, raising concerns at that time about extending additional credit. RX-1243 (Ex. 190); RPFF 481. The internal protocol for OOCL trade personnel was to reduce exposure to any customer about whom Financial Control had issued alerts. APP-221 (Chen Tr. 278:12-18).

²⁰¹ *Id.* (Chen Tr. 278:25-279:8).

²⁰² RPFF 689.

²⁰³ APP-3976, 3978 (Steffen Report ¶¶ 83, 86-87); *see also* RPFF 725, 735, 744, 745, 746, 750, 769.

December 2022, BBY's stores were nearly 35% out of stock, triggering defaults on numerous obligations.²⁰⁴ In April 2023, BBY filed for bankruptcy with \$1.8 billion in outstanding debt.²⁰⁵

The ALJ disregarded contemporaneous record evidence that OOCL assessed BBY presented a significant credit risk.²⁰⁶ A valid business reason existed not to reduce BBY's rates any further (OOCL dropped BBY's rates in October 2022) because BBY's insolvency risk fully justified OOCL's decision not to increase its exposure to BBY's financial woes.²⁰⁷

Nor did OOCL "partially shut out" BBY from contractual negotiations with OOCL (who signed service contracts with BBY in 2020, 2021, 2022, and amendments thereto); no evidence exists that OOCL had a secondary objective to stifle competition.²⁰⁸

Moreover, within three weeks after BBY's letter of February 9, 2022, complaining to OOCL about its annual space allocations, OOCL offered an additional 1,100 TEUs of space to BBY. The ID found OOCL's offer was not made in good faith (presumably because OOCL was unsure that BBY would be able to use it). Nevertheless, the space was offered and BBY used the majority of it (870 TEUs)²⁰⁹ This offer certainly demonstrates an effort to address BBY's concerns and its use by BBY shows it was offered and indeed performed in good faith by OOCL.

Because the ALJ incorrectly found that BBY engaged in protected activity; ignored sworn evidence that the 17% cut in MQC applied across the board to all OOCL's BCOs; disregarded contemporaneous evidence that OOCL's concerns about BBY's solvency risks in April, June and August 2022 were legitimate; and found OOCL's offer to provide additional

²⁰⁴ *Id.* ¶ 88.

²⁰⁵ RPFF 769 (Boris Steffen Report ¶ 89).

²⁰⁶ RPFF 474, 689.

²⁰⁷ RPFF 681-97.

²⁰⁸ *See* FMC Statement of the Commission on Retaliation, Docket No. 21-15, Issued December 29, 2021.

²⁰⁹ RPFF 436, 437.

capacity was not made in good faith even when it was used by BBY, the ALJ's determination that OOCL retaliated against BBY in violation of the Shipping Act was arbitrary and capricious.

IX. The ID Errs in Finding that OOCL Violated 46 U.S.C. § 41104(a)(10), Count V (Refusal to Deal).

BBY premised its refusal to deal claim on the alleged 17% reduction in MQC during the 2022-2023 service contract negotiations. As discussed above, that reduction was applied by OOCL across the board to all BCOs, and therefore cannot be construed as a refusal to deal with BBY specifically.²¹⁰ At ID (at 158), the ALJ noted the Commission holding that:

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA [1998]. **All that is required is that common carriers . . . refrain from 'shutting out' any person for reasons having no relation to legitimate transportation-related factors.**²¹¹

OOCL did not "shut out" BBY. To the contrary, it equitably reduced the space it would offer across all BCOs during the 2022-2023 shipping year contract negotiations and reached agreement with BBY on the amount of MQC and rates in the 2022-2023 service contract.²¹² If BBY was not willing to agree to same, it did not have to sign that service contract.

Relying on a finding that all of the service contract amendments were void *ab initio* and completely ignoring the evidence on OOCL's space allocation and booking data, the ALJ found:

OOCL unreasonably failed to provide space in the 2020-21 and 2021-22 shipping years, and refused to provide space without PSS and premium rates for extra

²¹⁰ RPFF 685.

²¹¹ *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 29 S.R.R. 345, 351, 2001 WL 865692, *8 (ALJ June 27, 2001) (*aff'd* 29 S.R.R. 1066, 2002 WL 33836158 (FMC June 28, 2002) (*aff'd sub nom New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003))). ALJ Wirth relies upon a Refusal to Deal Rule that was promulgated by the FMC after the events at issue occurred, ID at p. 157, and that Rule did not include as a "transportation factor" the impact that the Covid pandemic and attendant U.S. Government stimulus had on vessel capacity, which created incredible port congestion that adversely affected the deployment of thousands of container ships during the shipping years at issue.

²¹² RPFF 639.

loaders. These actions constituted a partial shutout and were not justified, as the amendments to price and MQC were not found to be voluntary.²¹³

Those findings are arbitrary and capricious (see discussion above of the parties' respective factual evidence concerning the space OOCL provided and its booking performance), and as discussed above, the rescission of 43 contracts unconstitutionally violates the major questions and non-delegation doctrines, as well as the Shipping Act. Further, OOCL's PSS and premium contract rates were well within market rates,²¹⁴ and no evidence in the record demonstrates that OOCL refused or threatened to refuse to carry BBY's cargo unless such rates were agreed.²¹⁵ Lastly, nothing in the Shipping Act – either before or after 1998 – guarantees a shipper the right to enter into a contract with a carrier, much less a contract with any specific terms.

CONCLUSION²¹⁶

For the above reasons, Respondents respectfully request Commission reverse the ID, deny Complainant's Claims in their entirety, and grant such other relief as may be just and appropriate.

²¹³ ID at p. 159. A "partial shutout" is not explained. The ALJ noted that "an example of unreasonable conduct, the [Refusal to Deal] rule includes: 'Quoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations.' 46 C.F.R. § 542.1(h)(1)." ID at 157-158. While the ALJ made findings that OOCL charged BBY "above market rates", nowhere in the ID are benchmark "market rates" defined so as to determine whether they were unreasonable during a global pandemic when container space was never more scarce. But in any event, OOCL and BBY reached an agreement and signed a service contract for 2022-2023. Further, there is no record evidence that OOCL ever refused to provide space if a PSS was not agreed, and the premium contracts provided additional capacity over and above the annual service contracts' MQC. RPFF 593; APP 1395 (K. Lam Tr. 228:15-22). See also *World Shipping Council v. Fed. Mar. Comm'n*, 171 F.4th 410, 419 (D.C. Cir. 2026) ("Because awarding reparations requires a benchmark, such as a market rate, we presume the Commission has the institutional ability reliably to assess a complainant's evidence of market rates.").

²¹⁴ See RPFFs 57a, 57c, 126, 131, 139, 162, 164, 165, 166, 184, 273, 274, 660, 661, 783.

²¹⁵ See Docket No. 23-02, Doc. No. 133, Respondents' Responses to CPFF 261, 263, 273, 280, 288, 292, 296, 301, 445, 447, 448, 508, and p. 307, ¶ B (bold language).

²¹⁶ Lastly, OOCL objects to the Commission's denial of OOCL's request for additional pages as unreasonably prejudicial, insofar as the ID was 198 single-spaced pages rife with both factual and legal errors, some of which will have grave industry-wide effects, many of which could not possibly be addressed fully herein.

Dated: June 23, 2026

Respectfully submitted,



Matthew Thomas

BLANK ROME LLP

1825 Eye Street N.W. Washington, DC 20006

(202) 772-5971

Matthew.Thomas@BlankRome.com

Keith B. Letourneau

BLANK ROME LLP

717 Texas Avenue, Suite 1400

Houston, Texas 77002

(713) 402-7640

Keith.Letourneau@BlankRome.com

Rebecca A. Fenneman

JEFFREY/FENNEMAN LAW +

STRATEGY, PLLC

700 12th St., NW, Suite 700

Washington, DC 20005

Tel. 202-904-2301

RFenneman@JeffreyFenneman.com